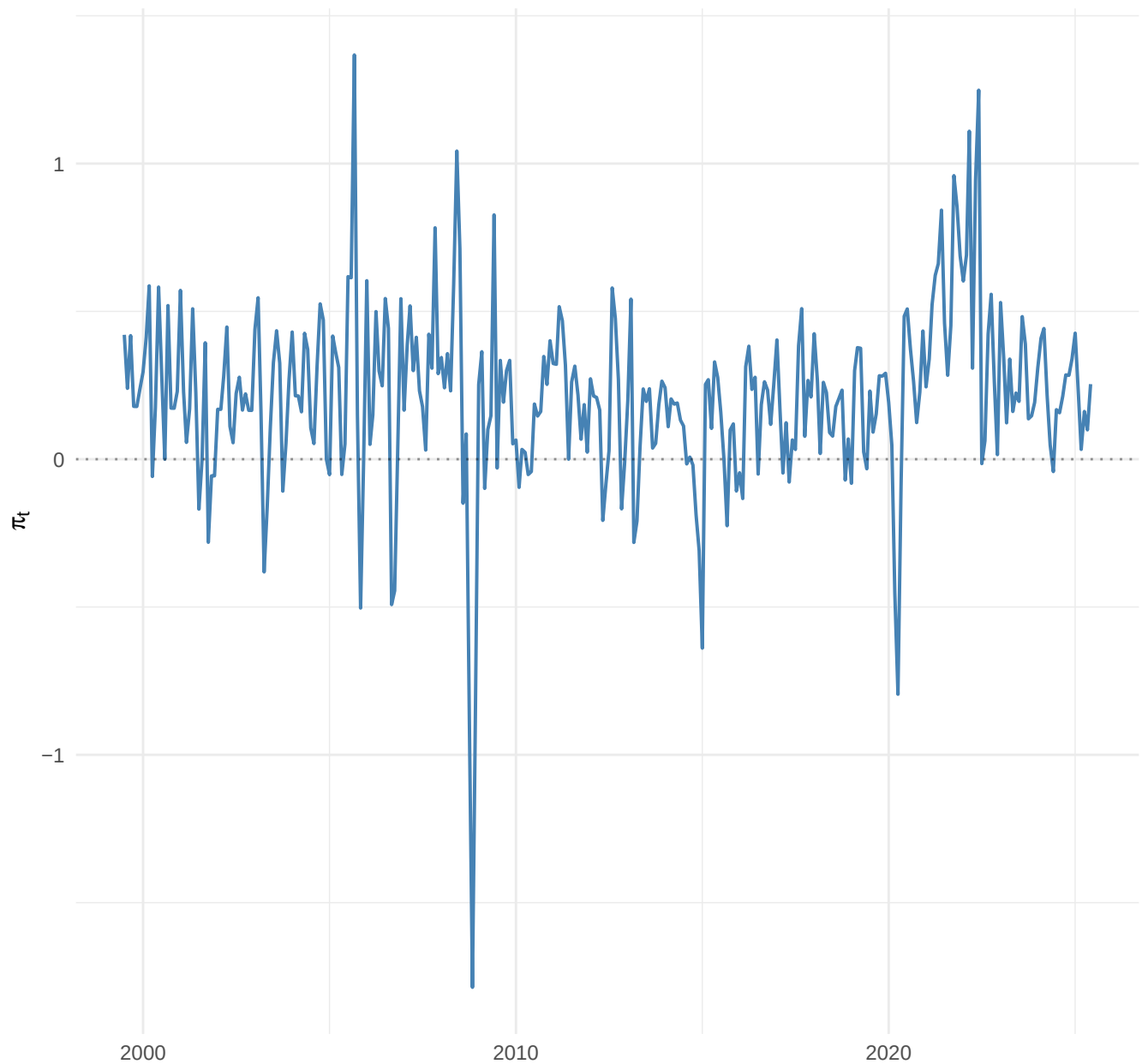
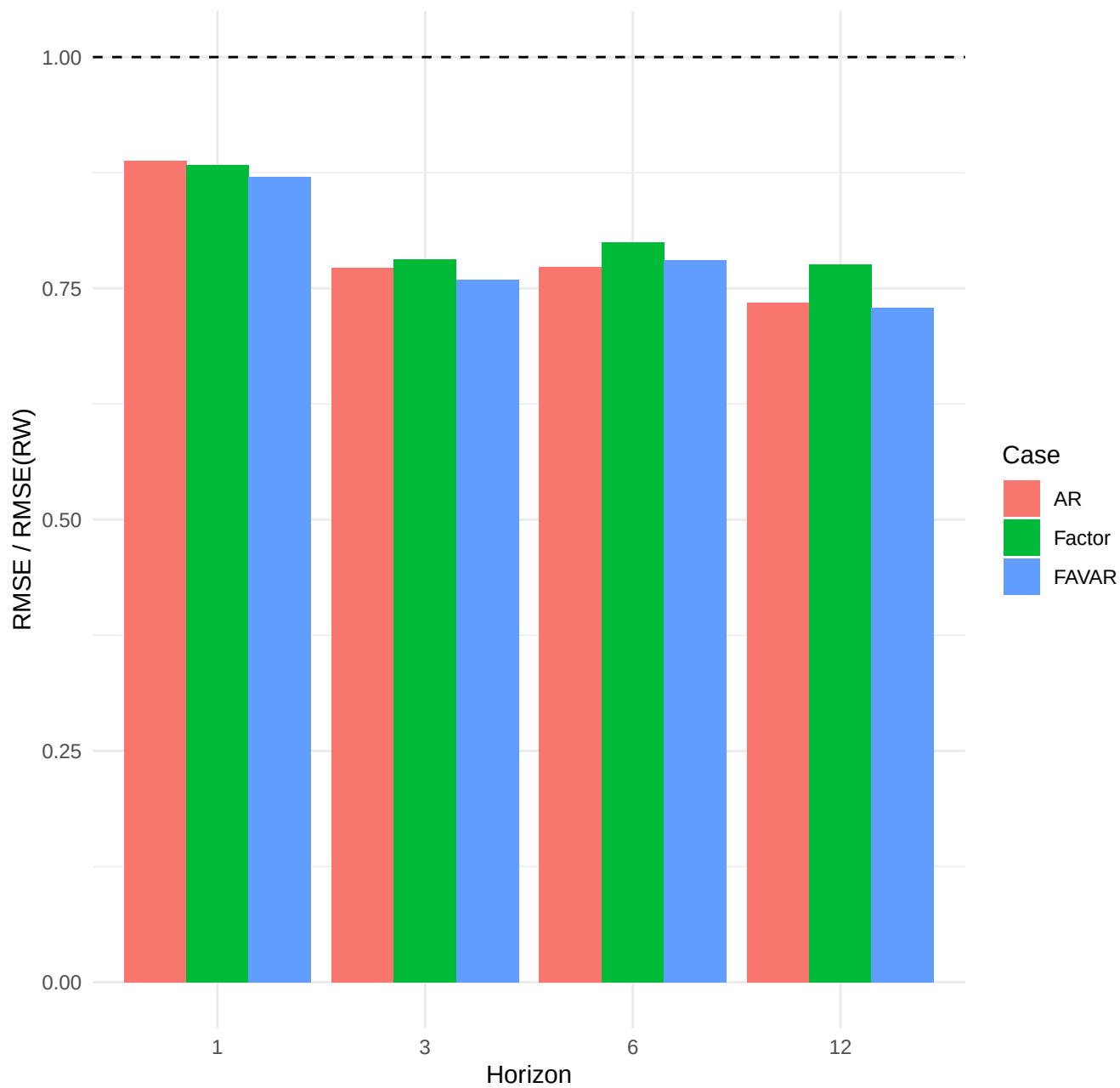


Realized inflation rate over the out-of-sample period

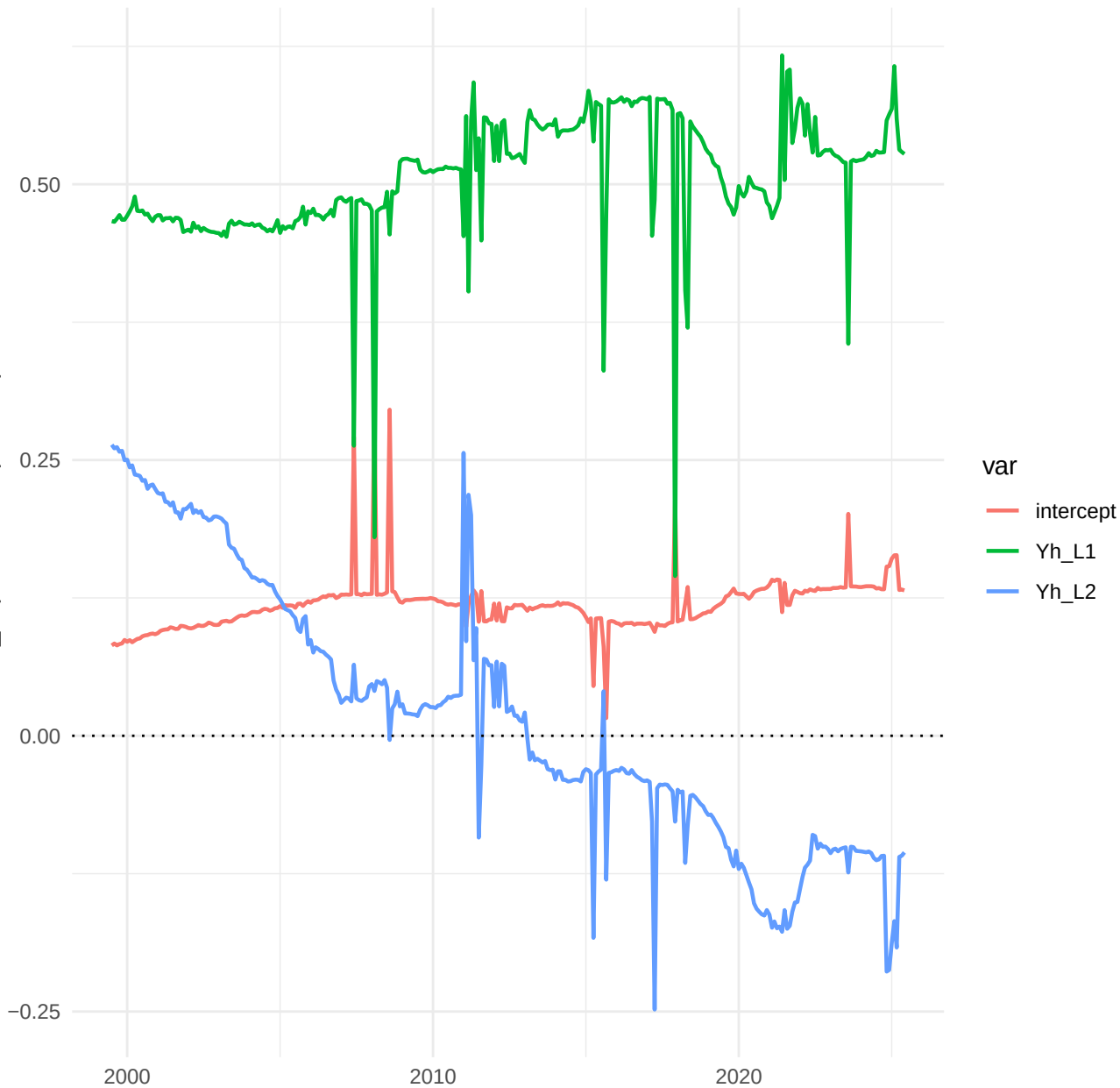


Comparison of the 3 TVP cases



TVP-AR, h=1: top-3 betas (by sd)

beta_T (last in-sample beta)



TVP-AR, h=3: top-3 betas (by sd)

beta_T (last in-sample beta)

0.50

0.25

0.00

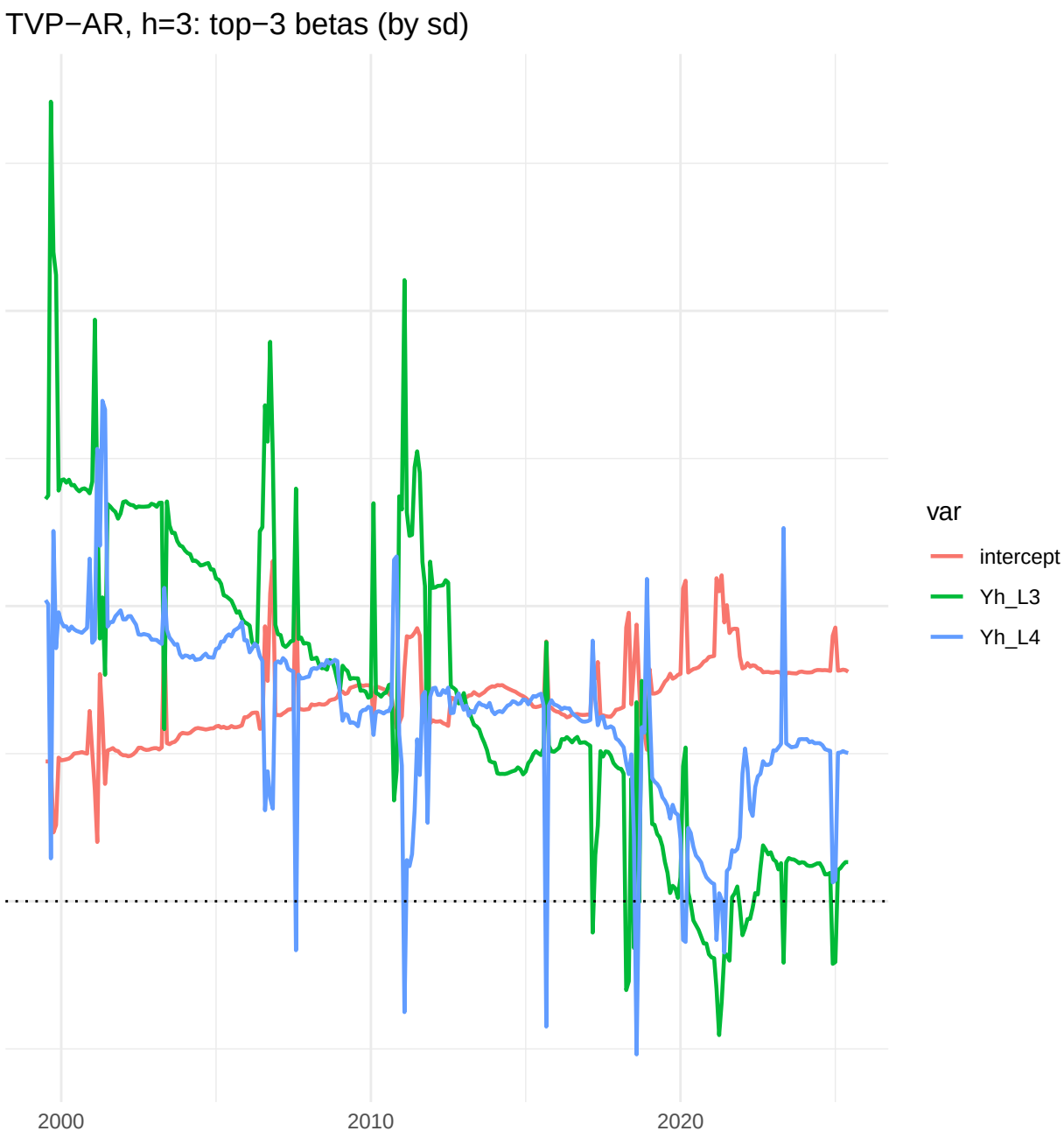
2000

2010

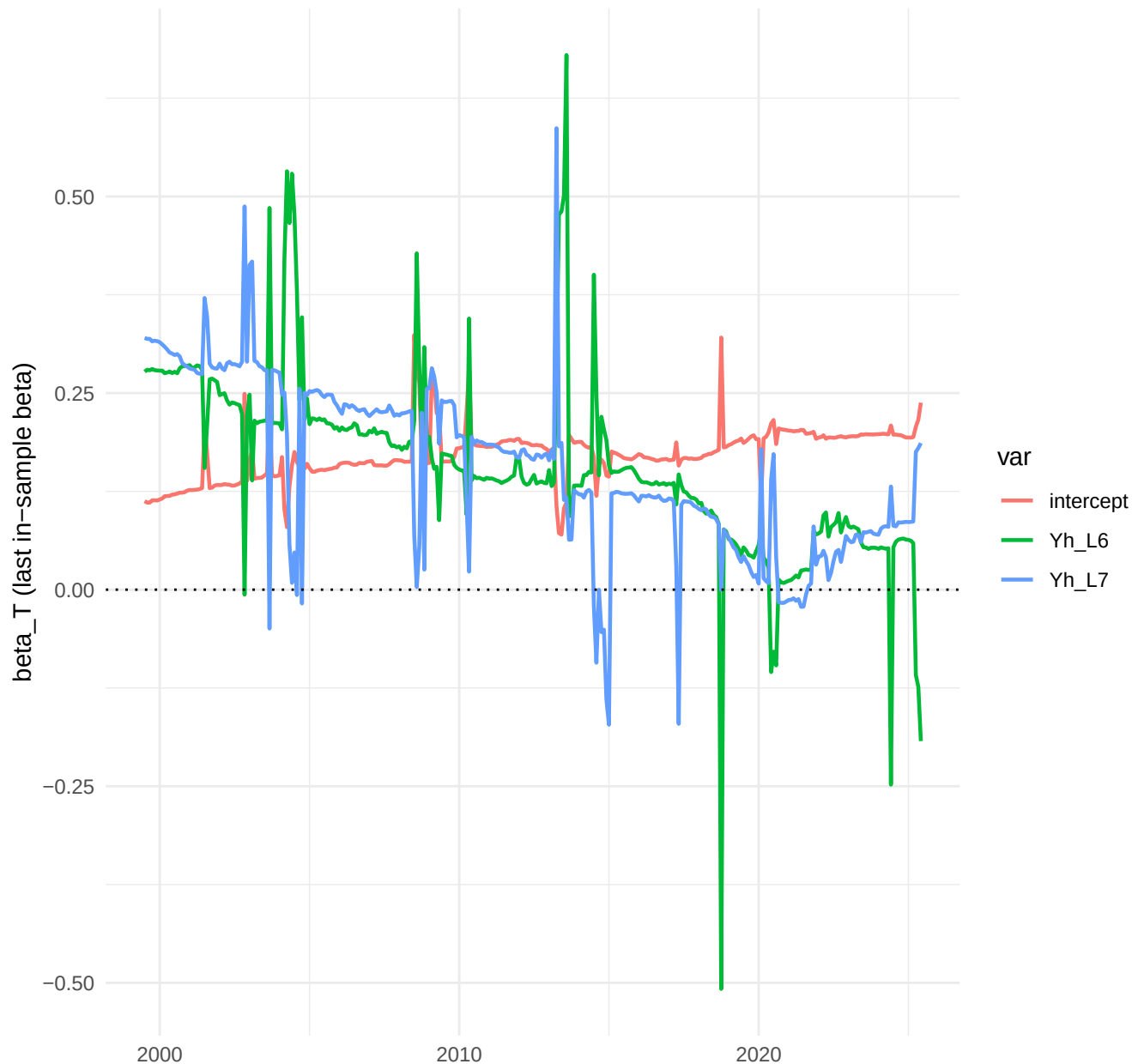
2020

var

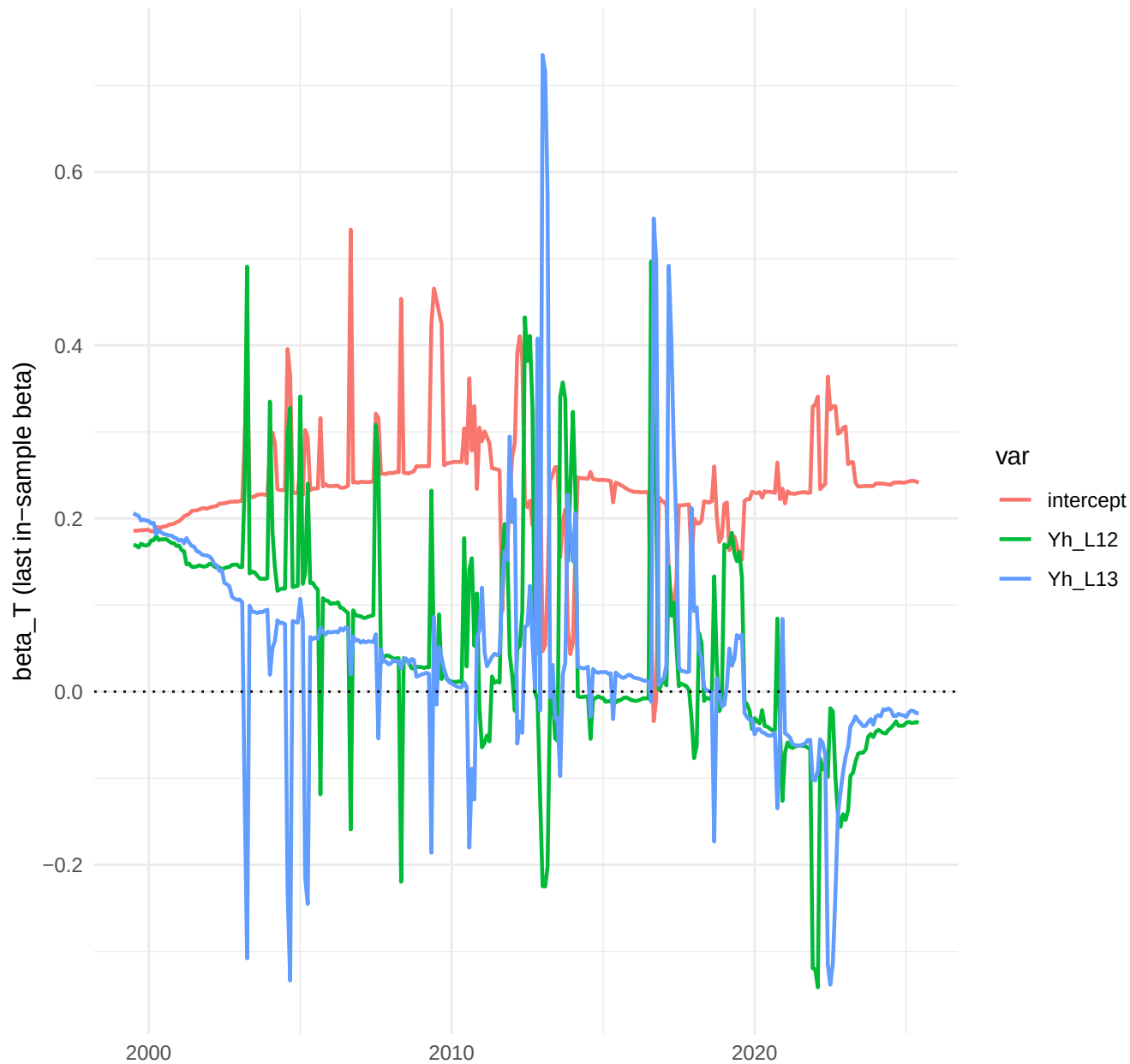
- intercept
- Yh_L3
- Yh_L4



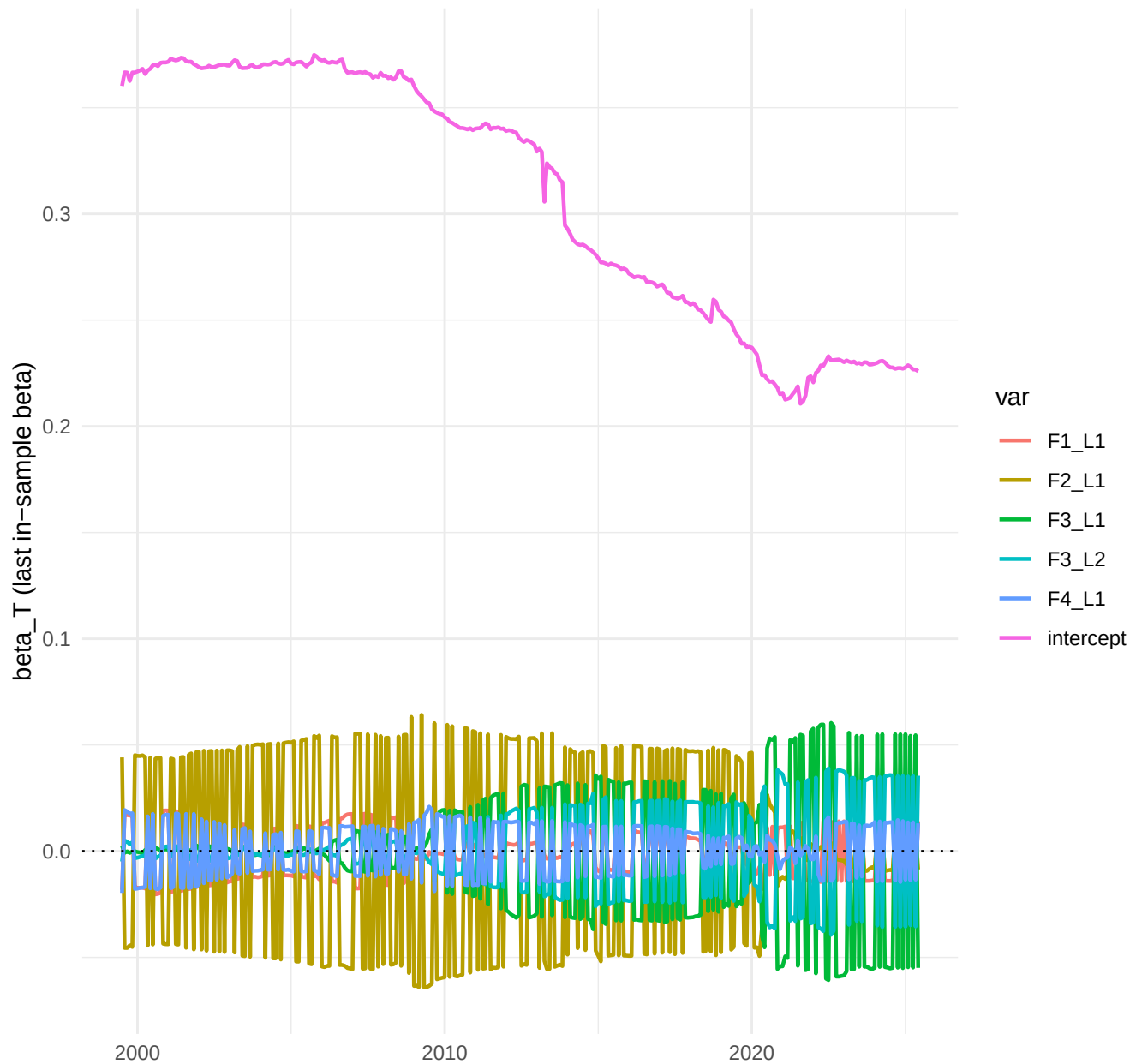
TVP-AR, h=6: top-3 betas (by sd)



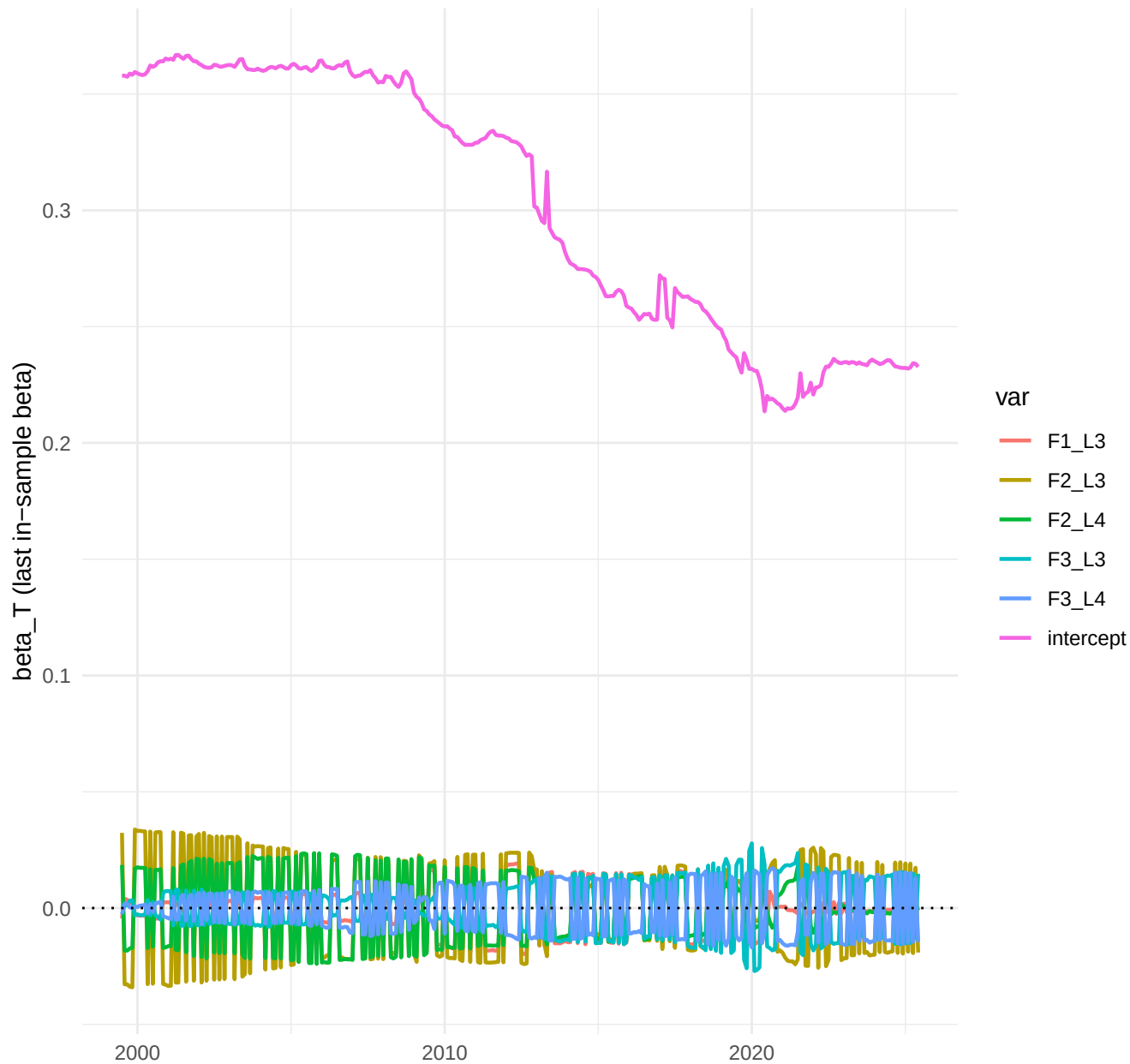
TVP-AR, h=12: top-3 betas (by sd)



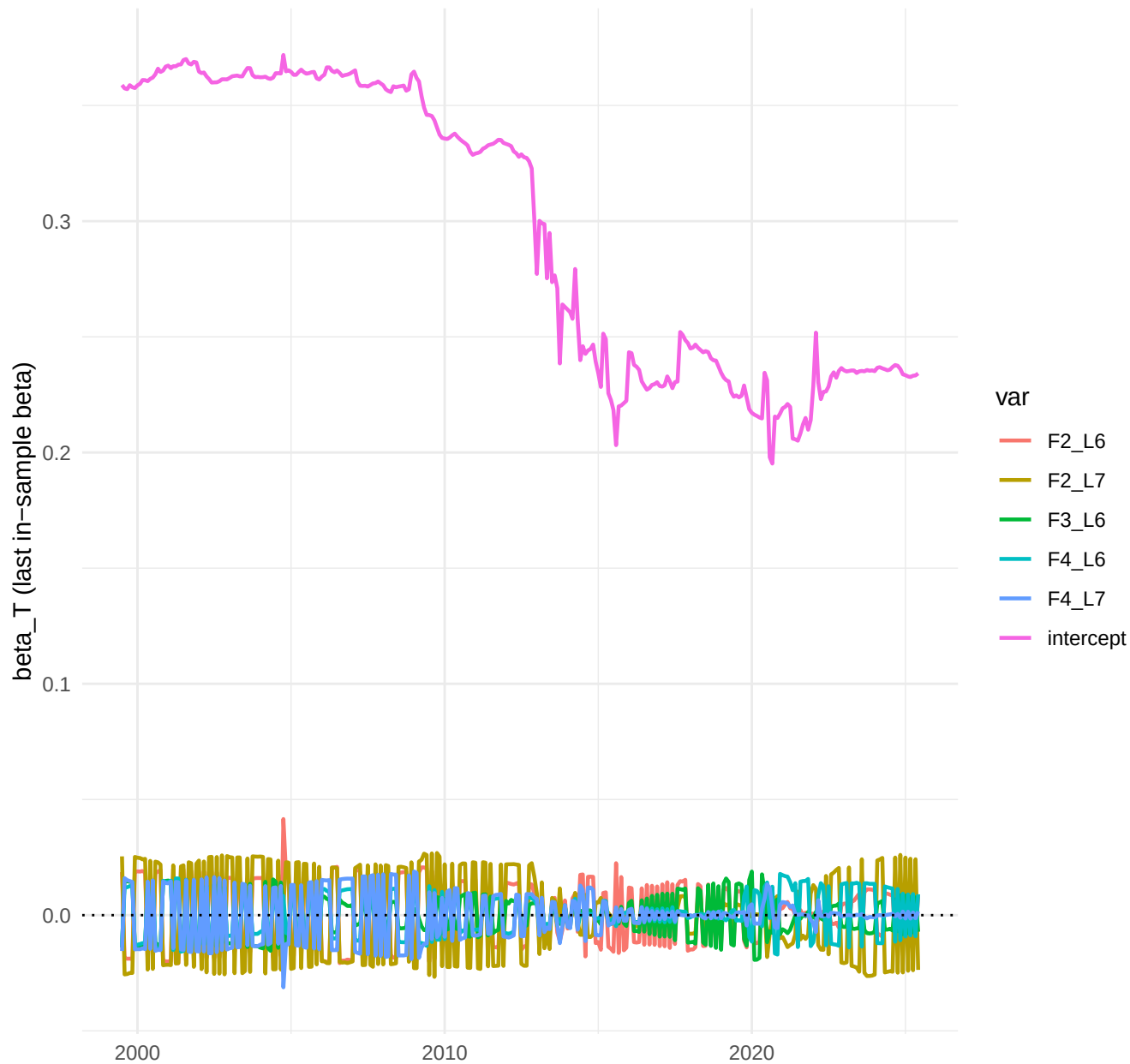
TVP-Factor, h=1: top-6 betas (by sd)



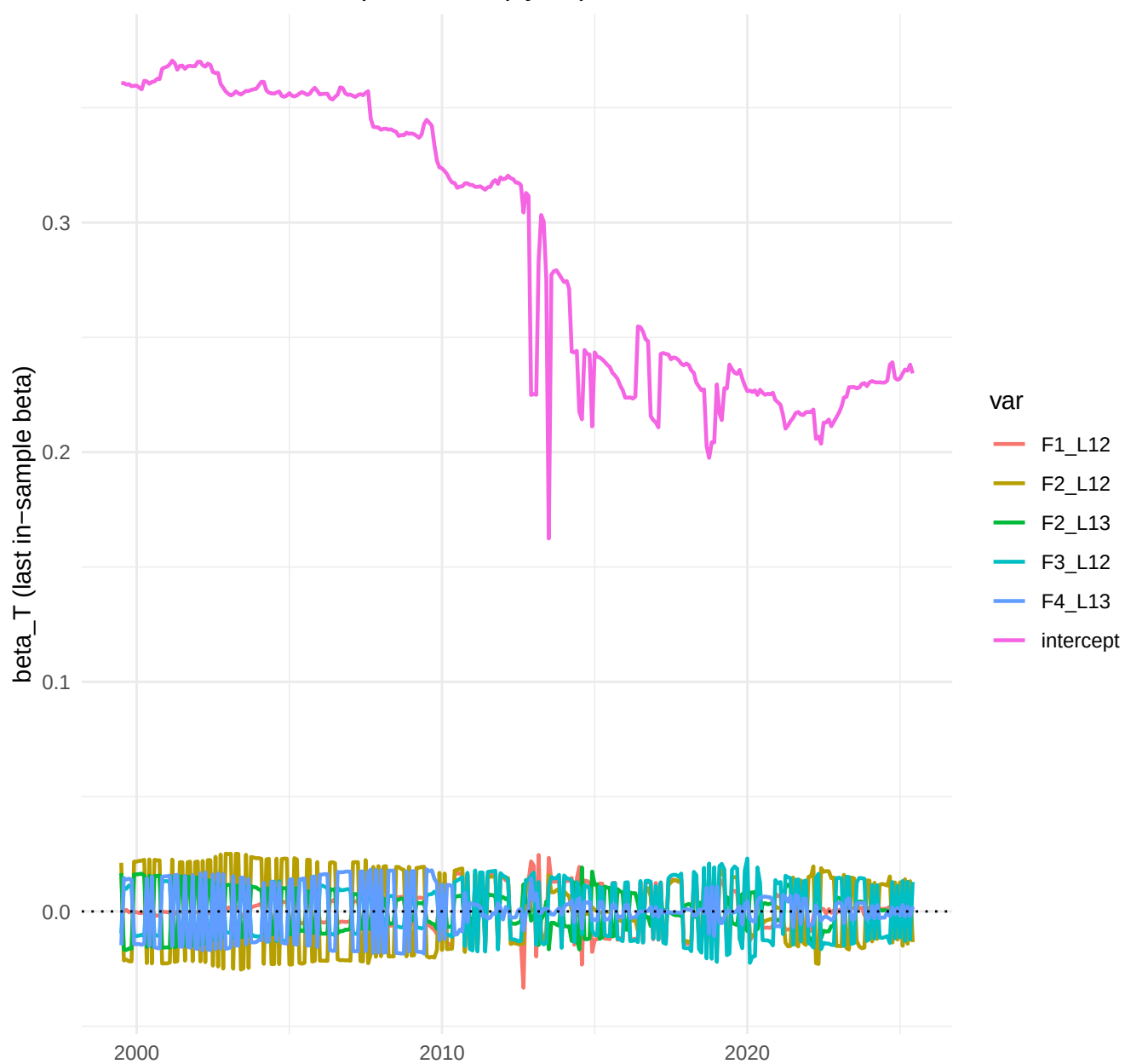
TVP-Factor, h=3: top-6 betas (by sd)



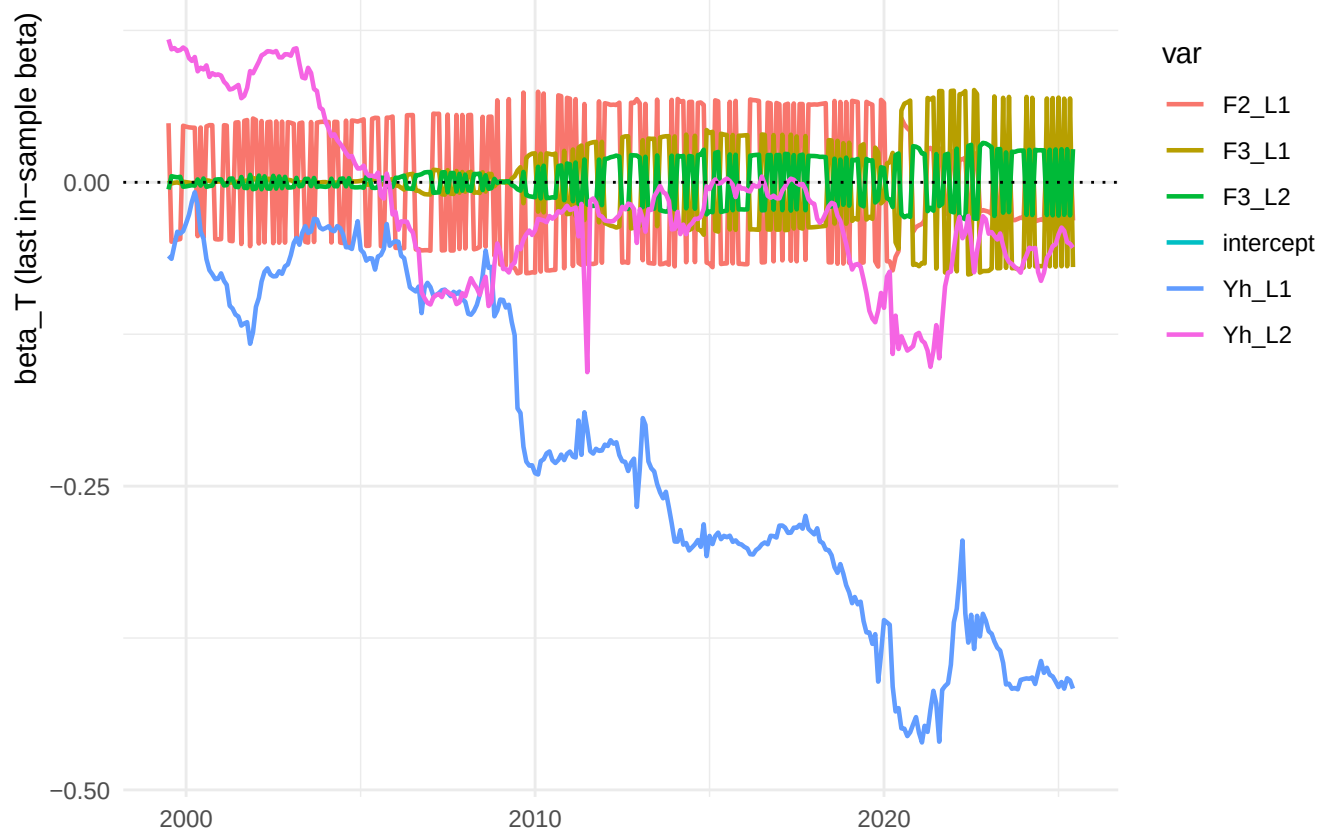
TVP-Factor, h=6: top-6 betas (by sd)



TVP-Factor, h=12: top-6 betas (by sd)



TVP-FAVAR, $h=1$: top-6 betas (by sd)



TVP-FAVAR, h=3: top-6 betas (by sd)



TVP-FAVAR, h=6: top-6 betas (by sd)

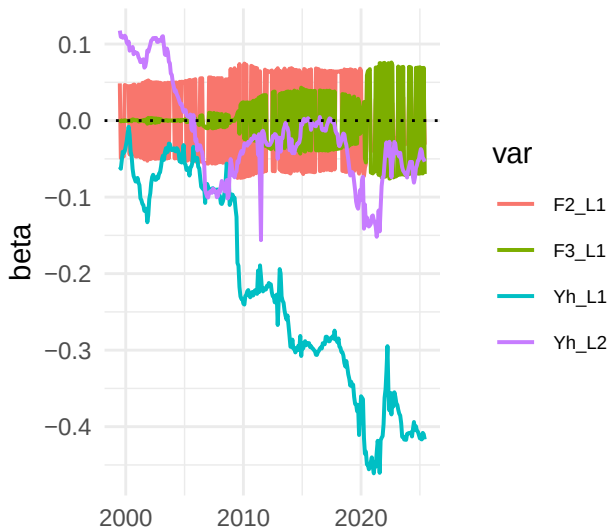


TVP-FAVAR, h=12: top-6 betas (by sd)

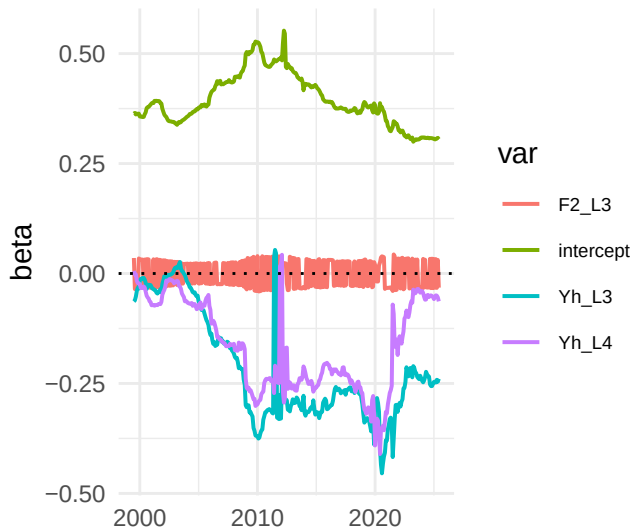


TVP-ARDI: top-4 betas per horizon

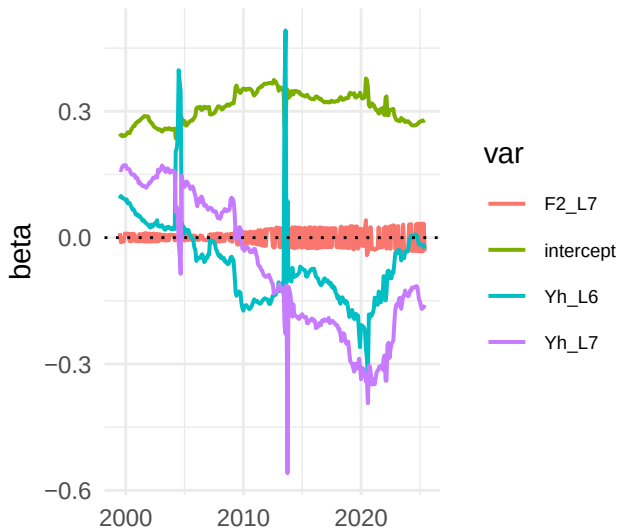
h=1



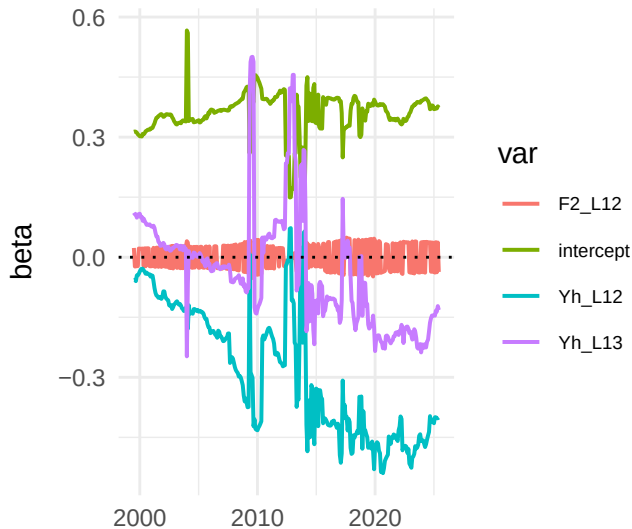
h=3



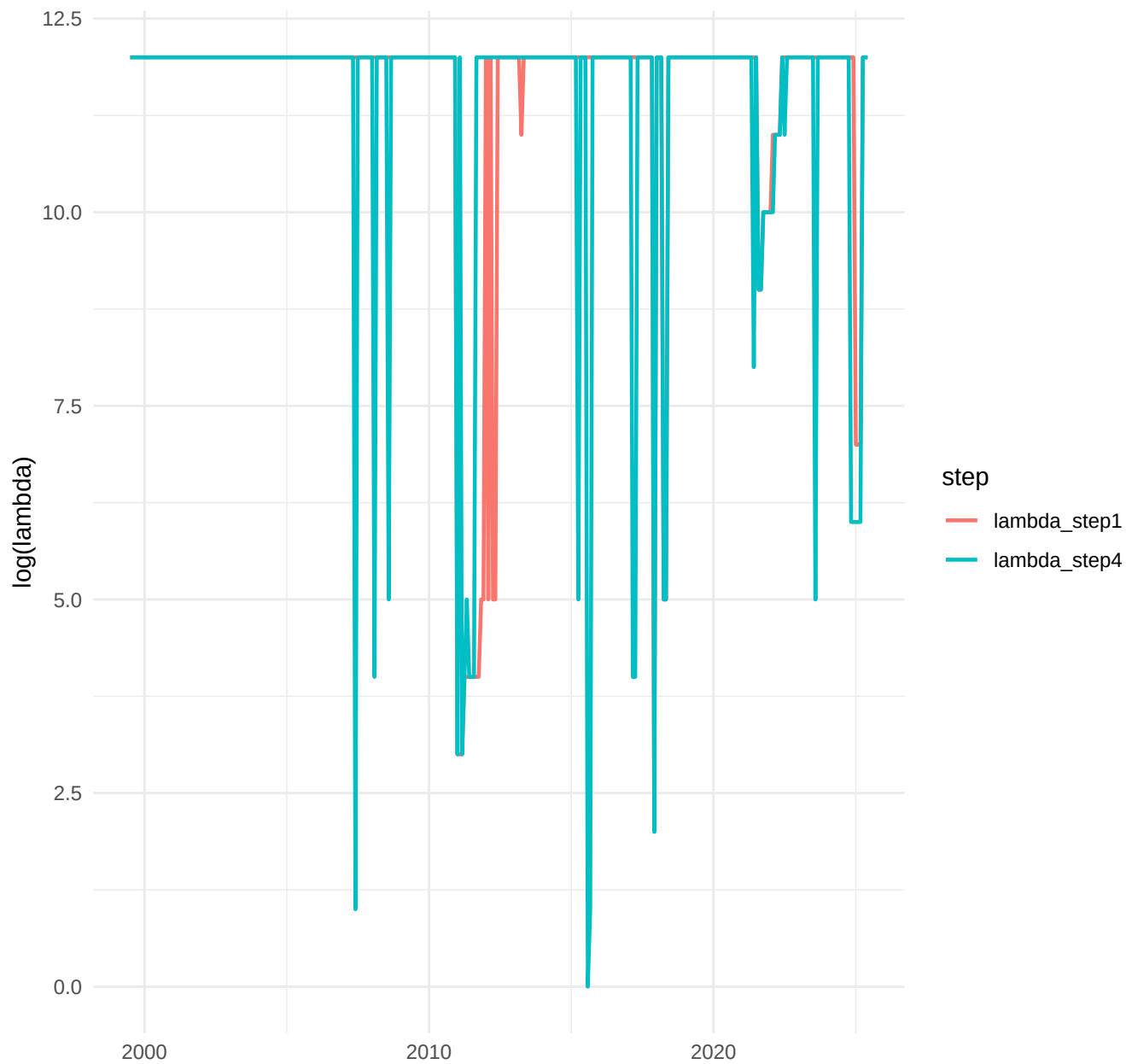
h=6



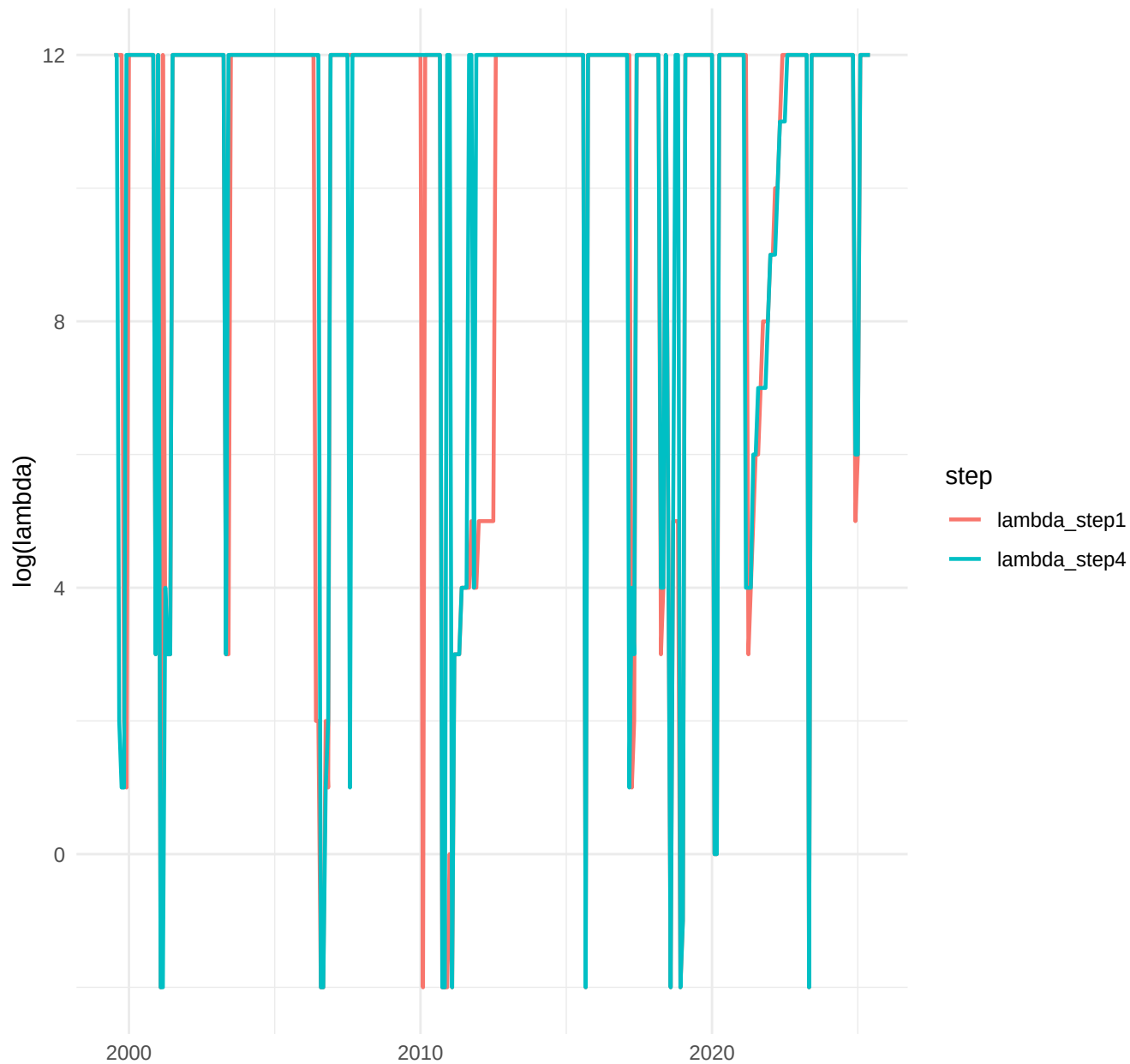
h=12



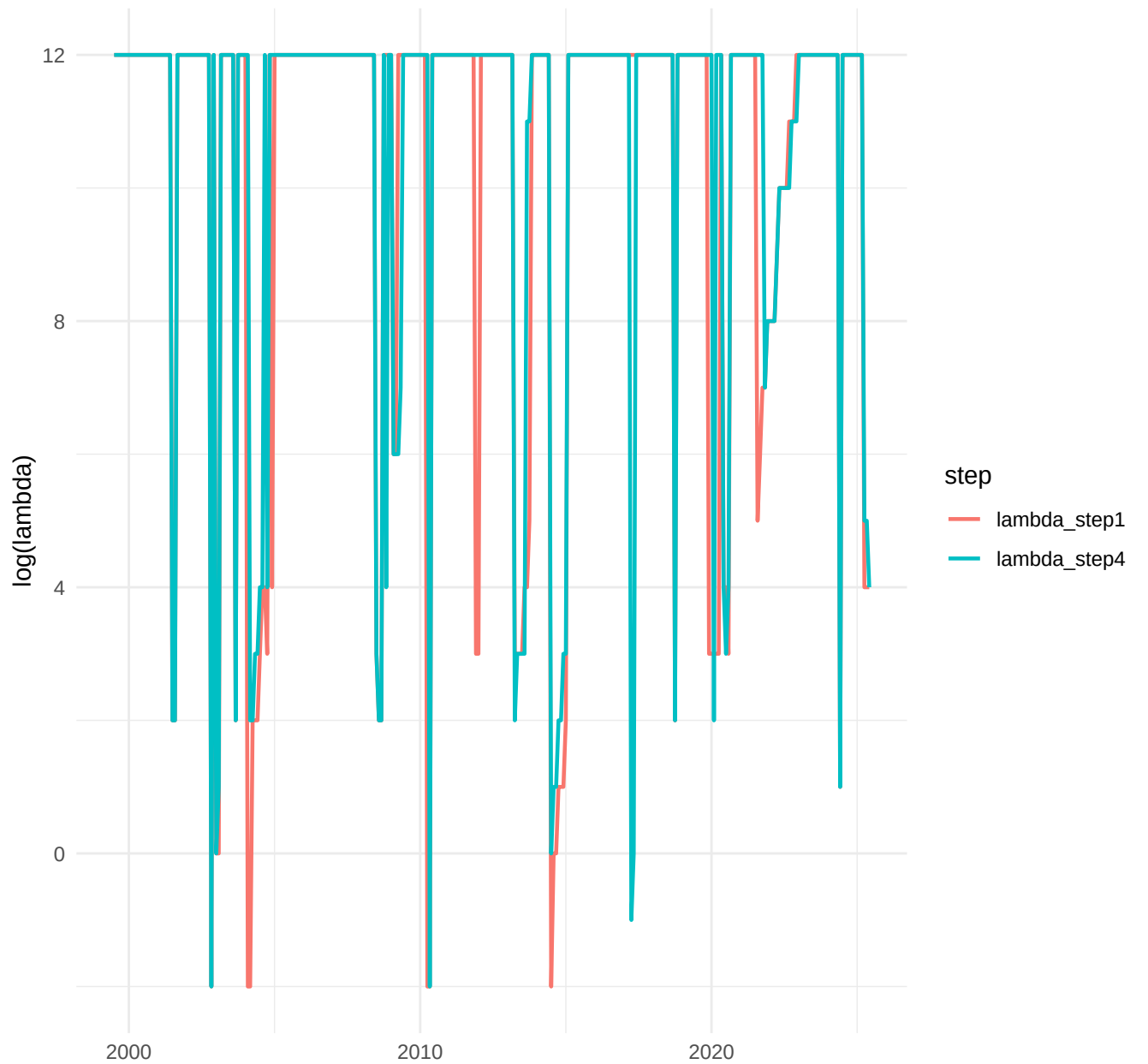
TVP-AR, h=1: Step1 vs Step4 lambdas (log)



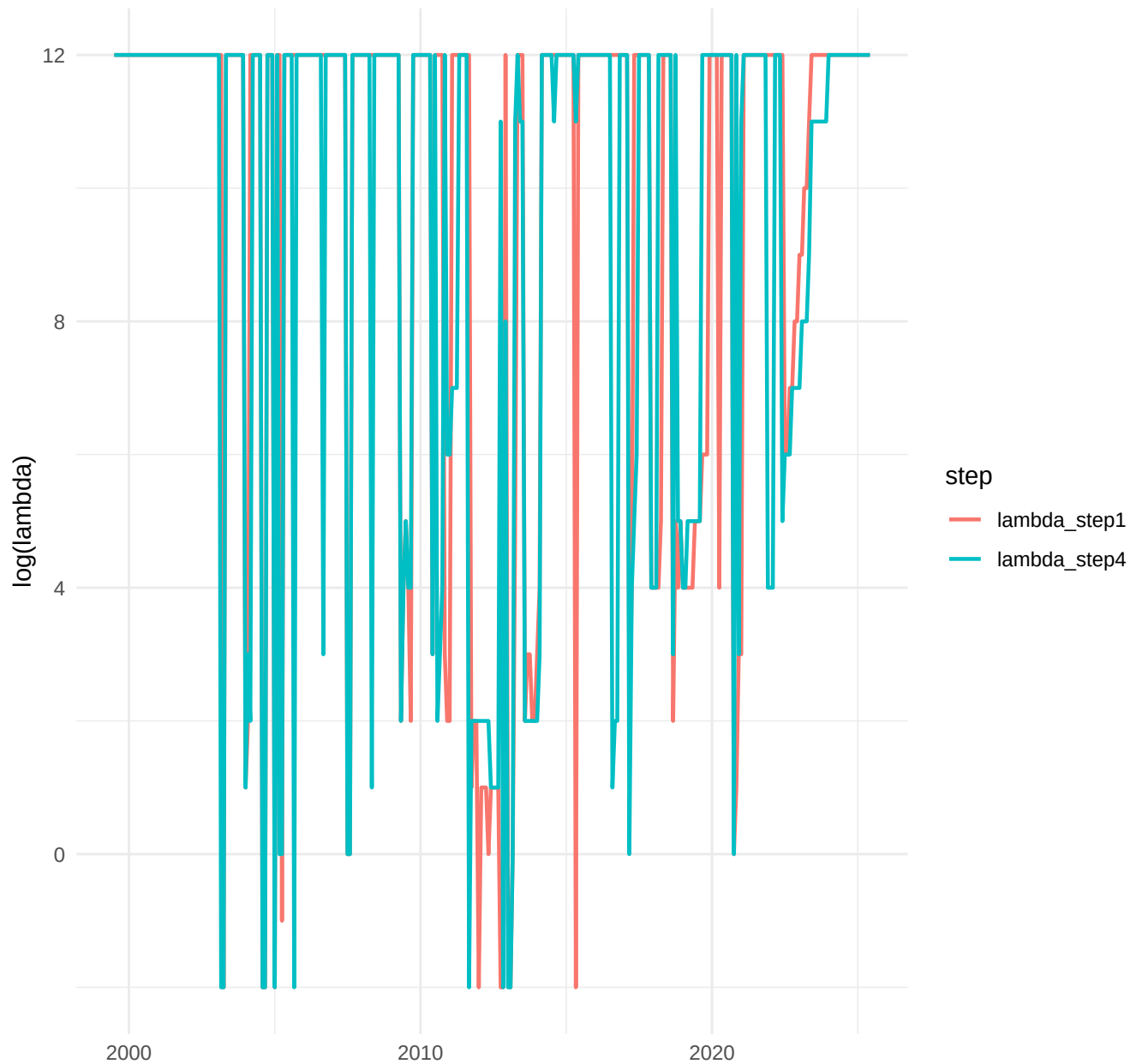
TVP-AR, h=3: Step1 vs Step4 lambdas (log)



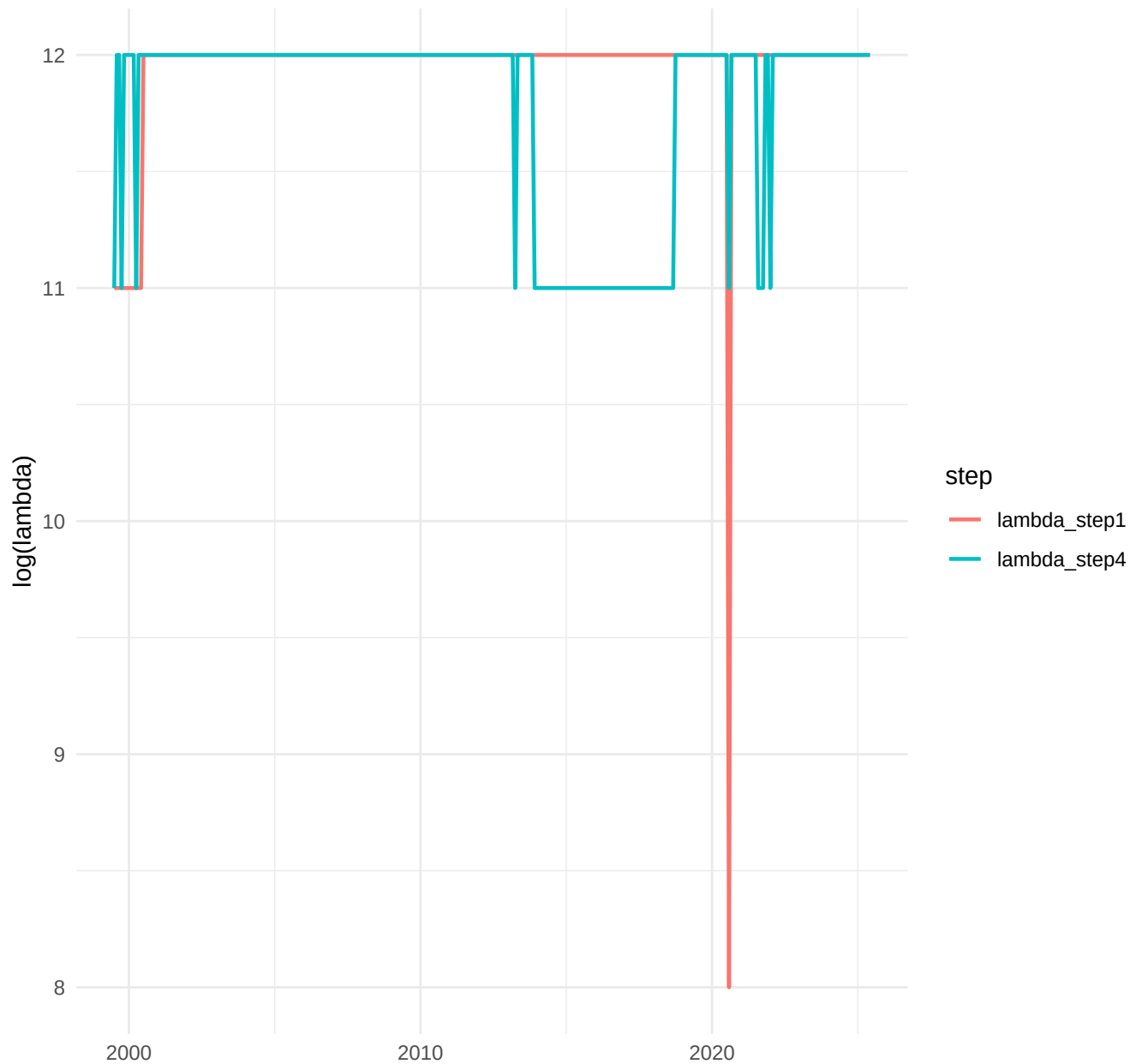
TVP-AR, h=6: Step1 vs Step4 lambdas (log)



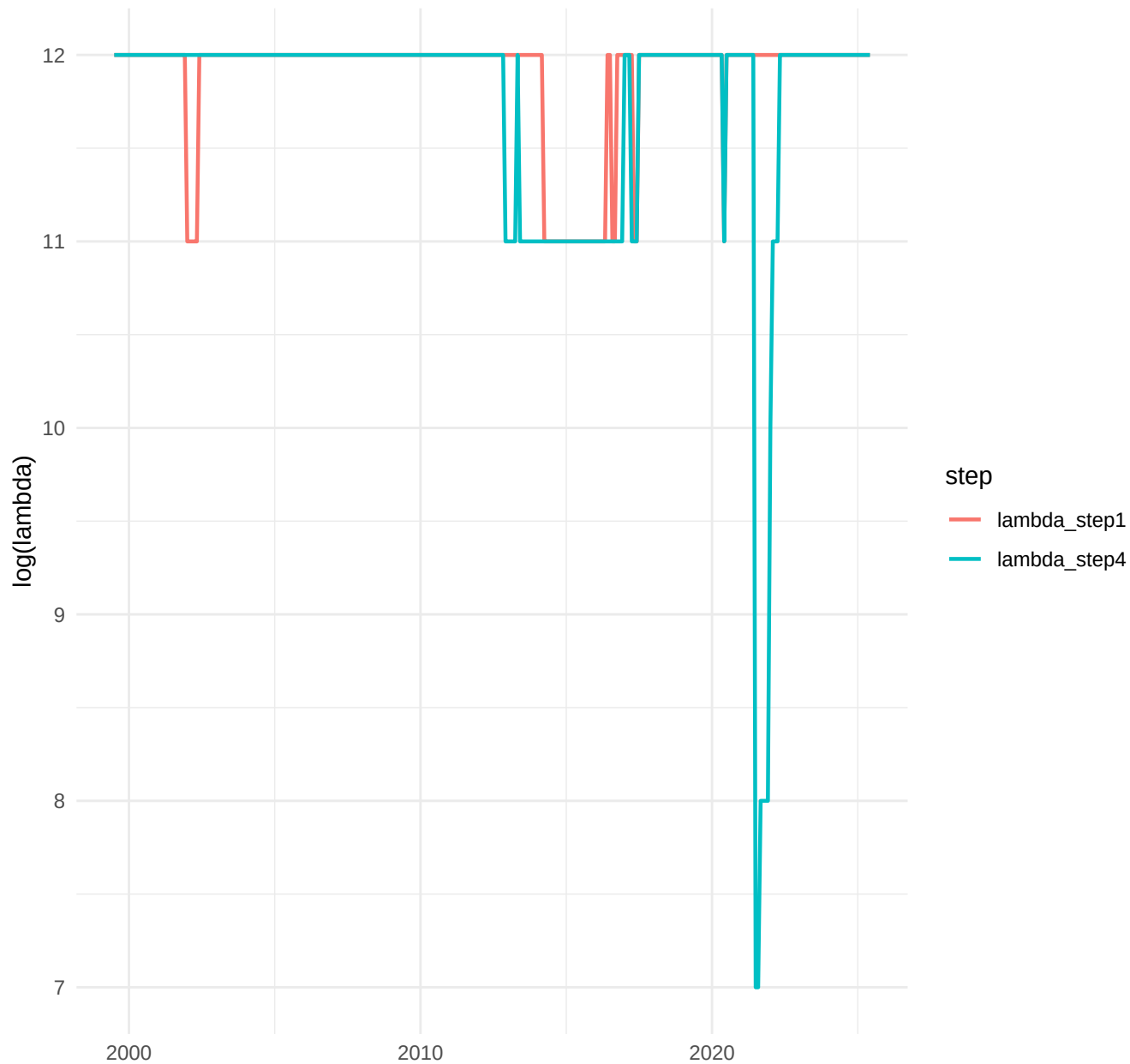
TVP-AR, h=12: Step1 vs Step4 lambdas (log)



TVP-Factor, h=1: Step1 vs Step4 lambdas (log)



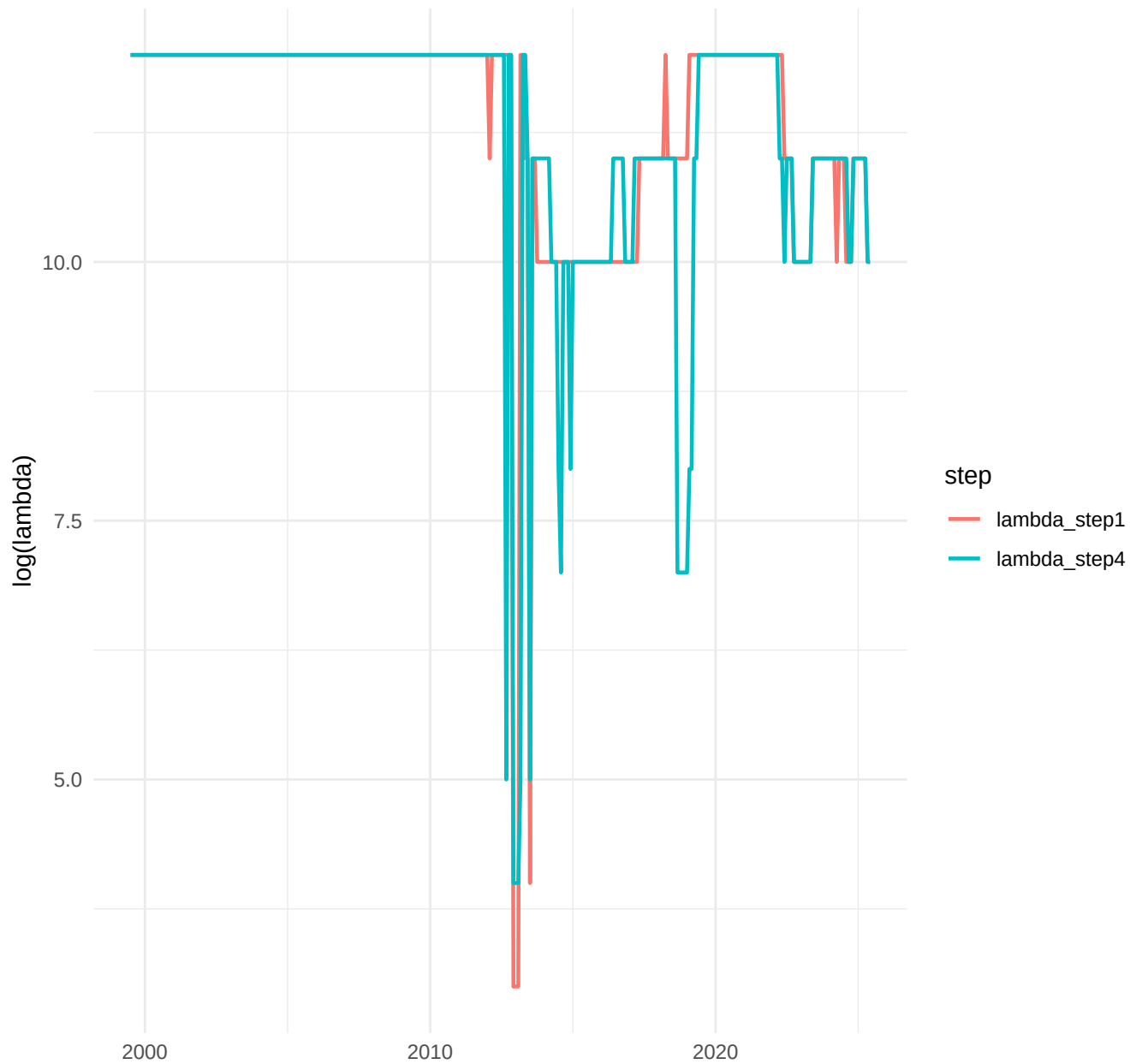
TVP-Factor, h=3: Step1 vs Step4 lambdas (log)



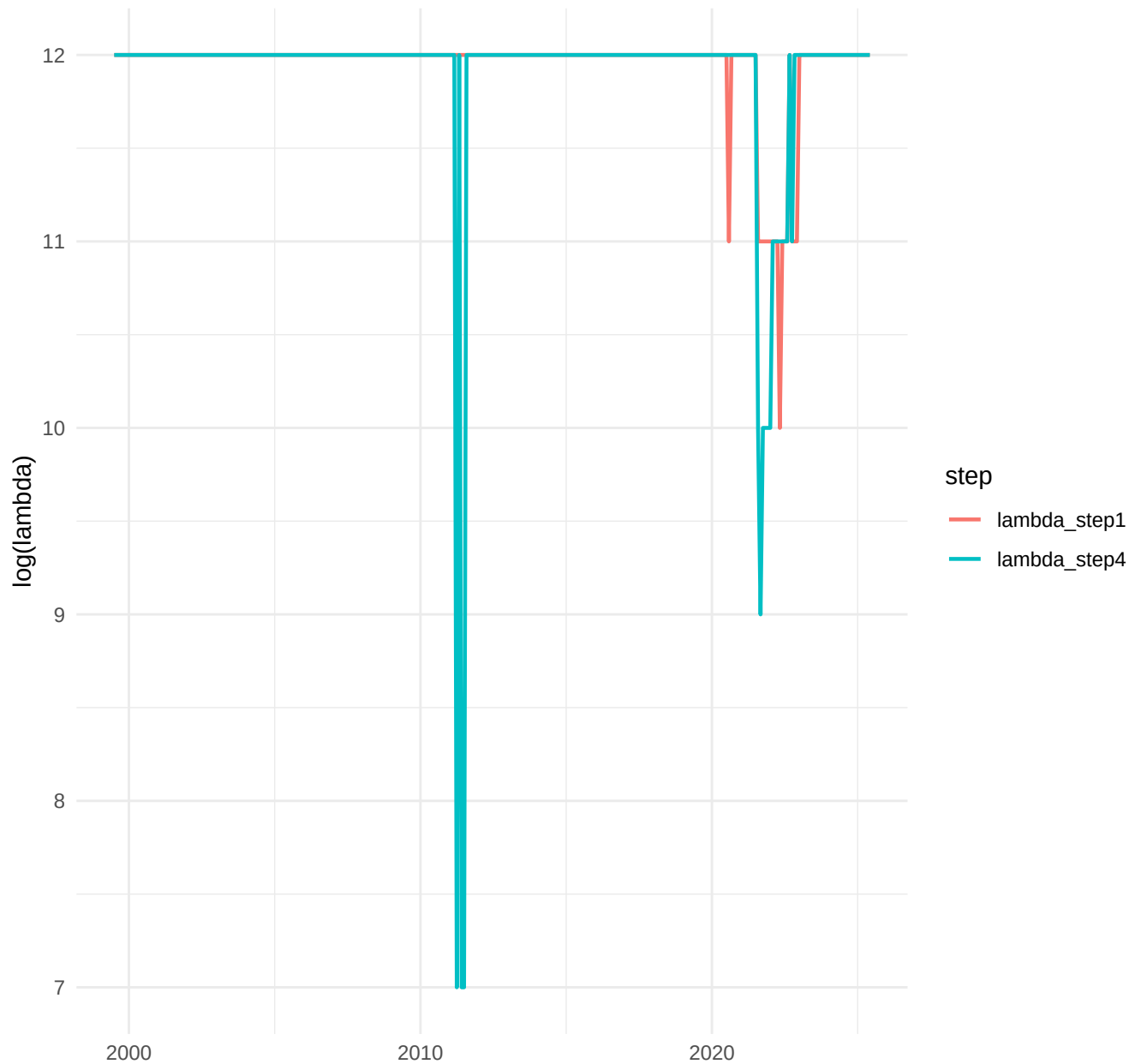
TVP-Factor, h=6: Step1 vs Step4 lambdas (log)



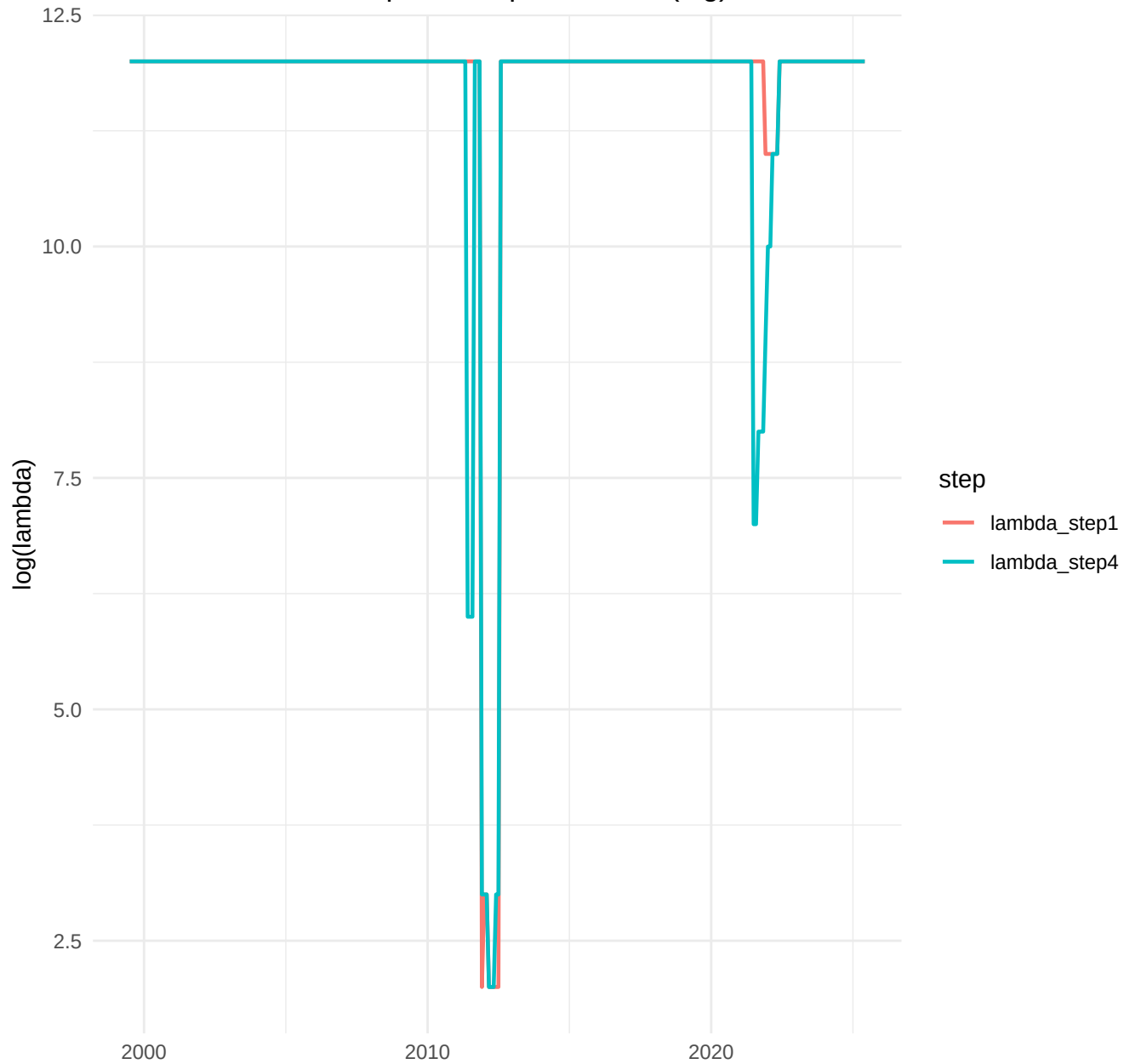
TVP-Factor, h=12: Step1 vs Step4 lambdas (log)



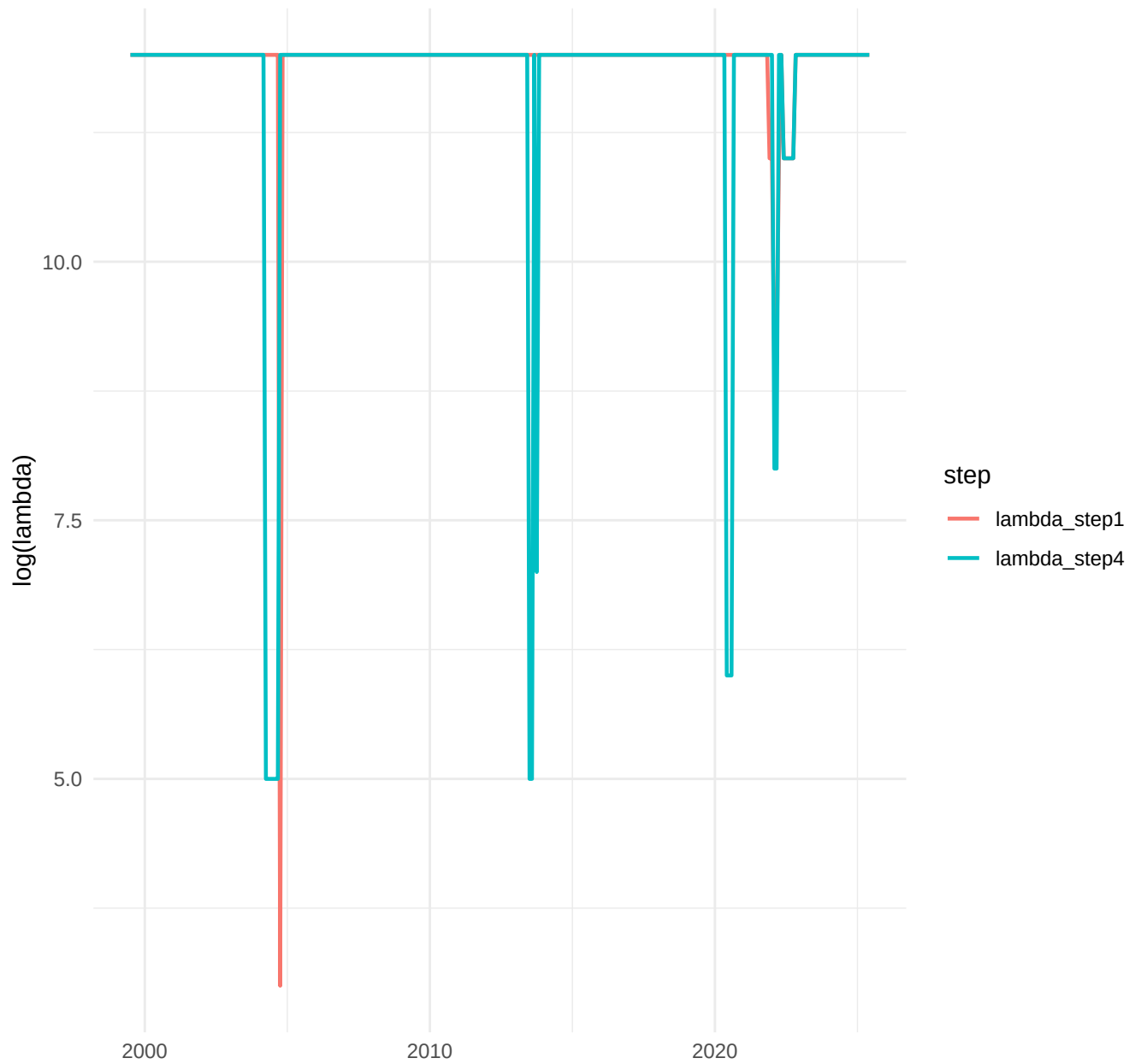
TVP-FAVAR, h=1: Step1 vs Step4 lambdas (log)



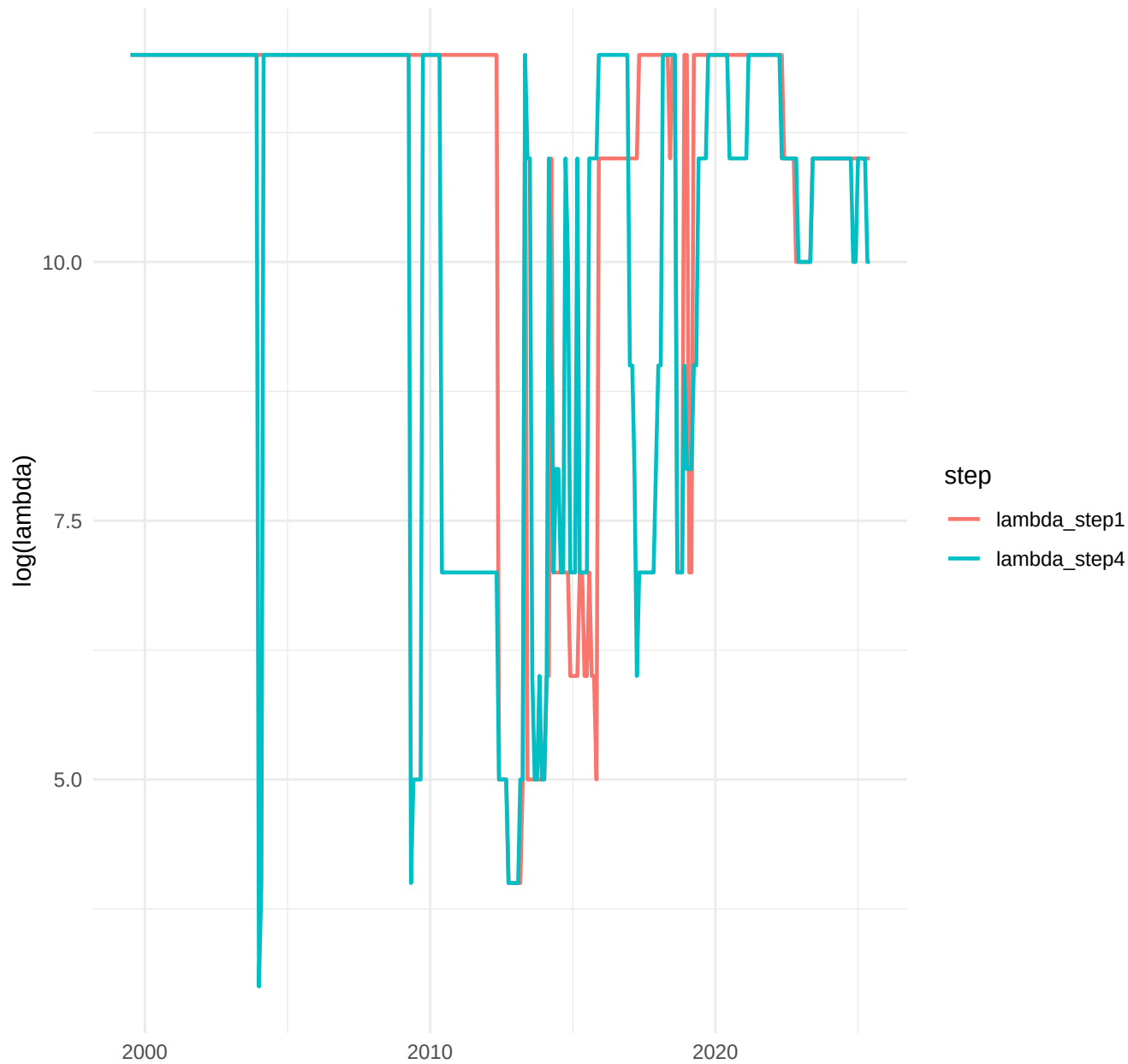
TVP-FAVAR, h=3: Step1 vs Step4 lambdas (log)



TVP-FAVAR, h=6: Step1 vs Step4 lambdas (log)



TVP-FAVAR, h=12: Step1 vs Step4 lambdas (log)



CSSED 2SRR-AR vs Ridge Step1, h=1

Sum($e^2_{\text{Ridge}} - e^2_{\text{2SRR}}$)

0.0

0.5

1.0

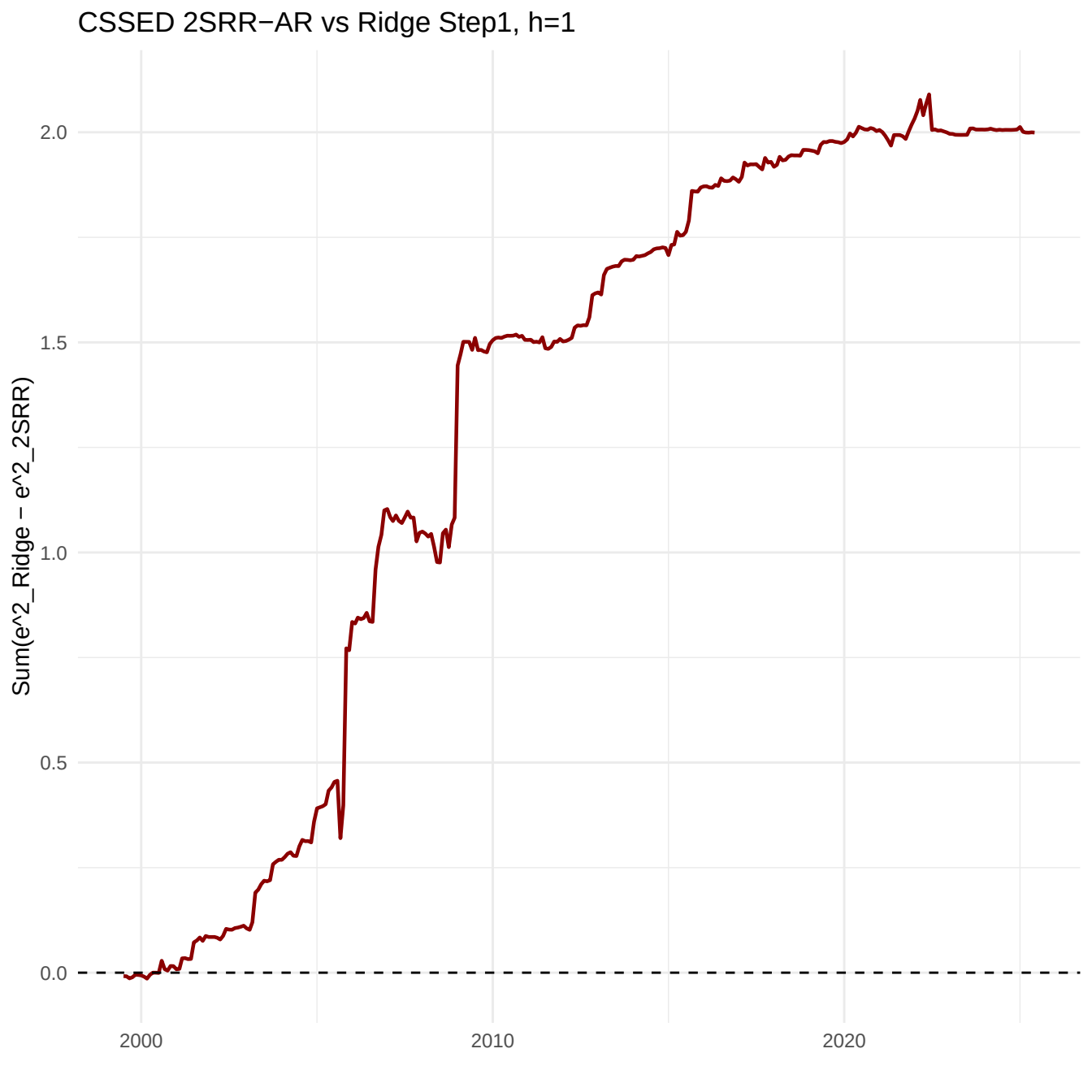
1.5

2.0

2000

2010

2020



CSSSED 2SRR-AR vs Ridge Step1, h=3

Sum($e^2_{\text{Ridge}} - e^2_{\text{2SRR}}$)

2

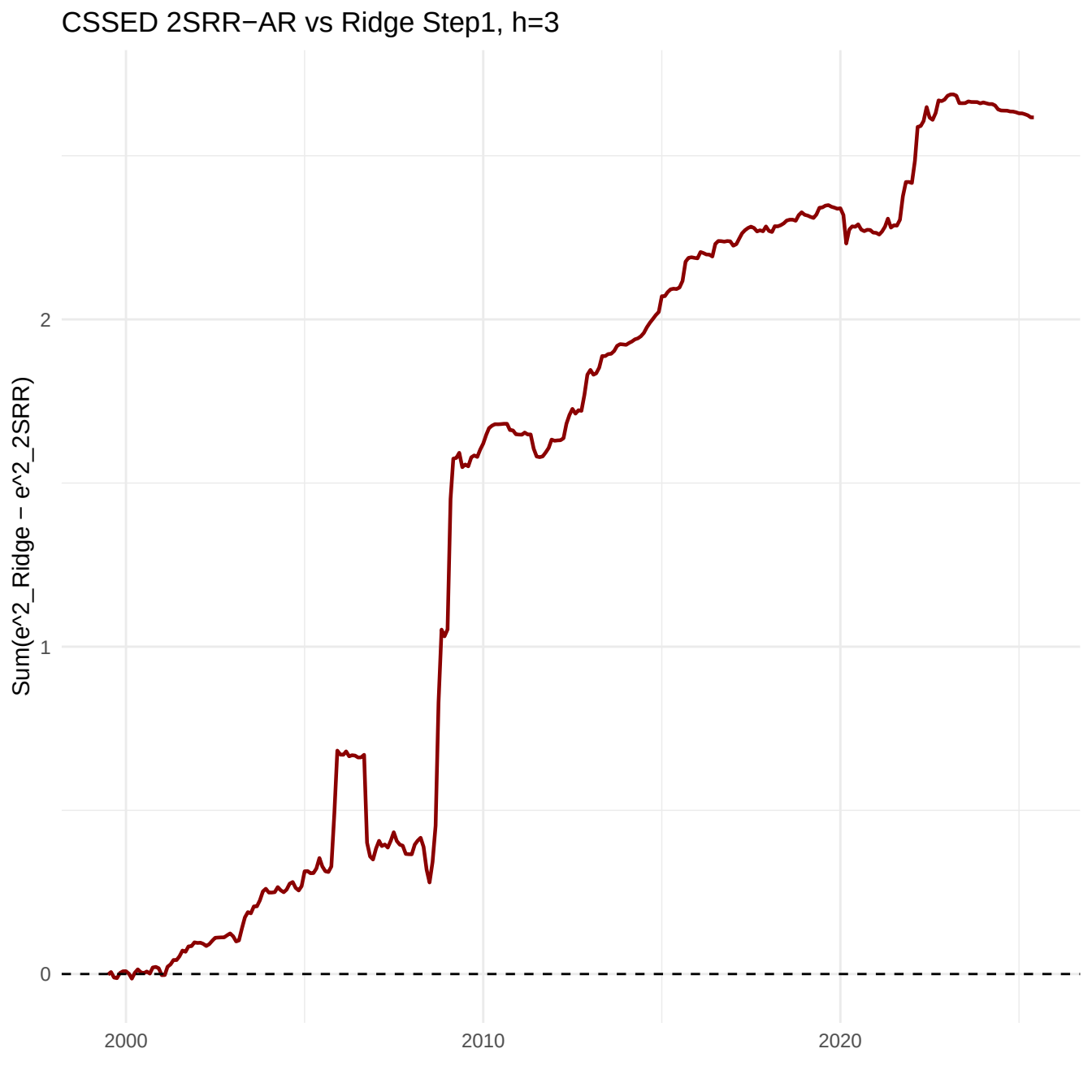
1

0

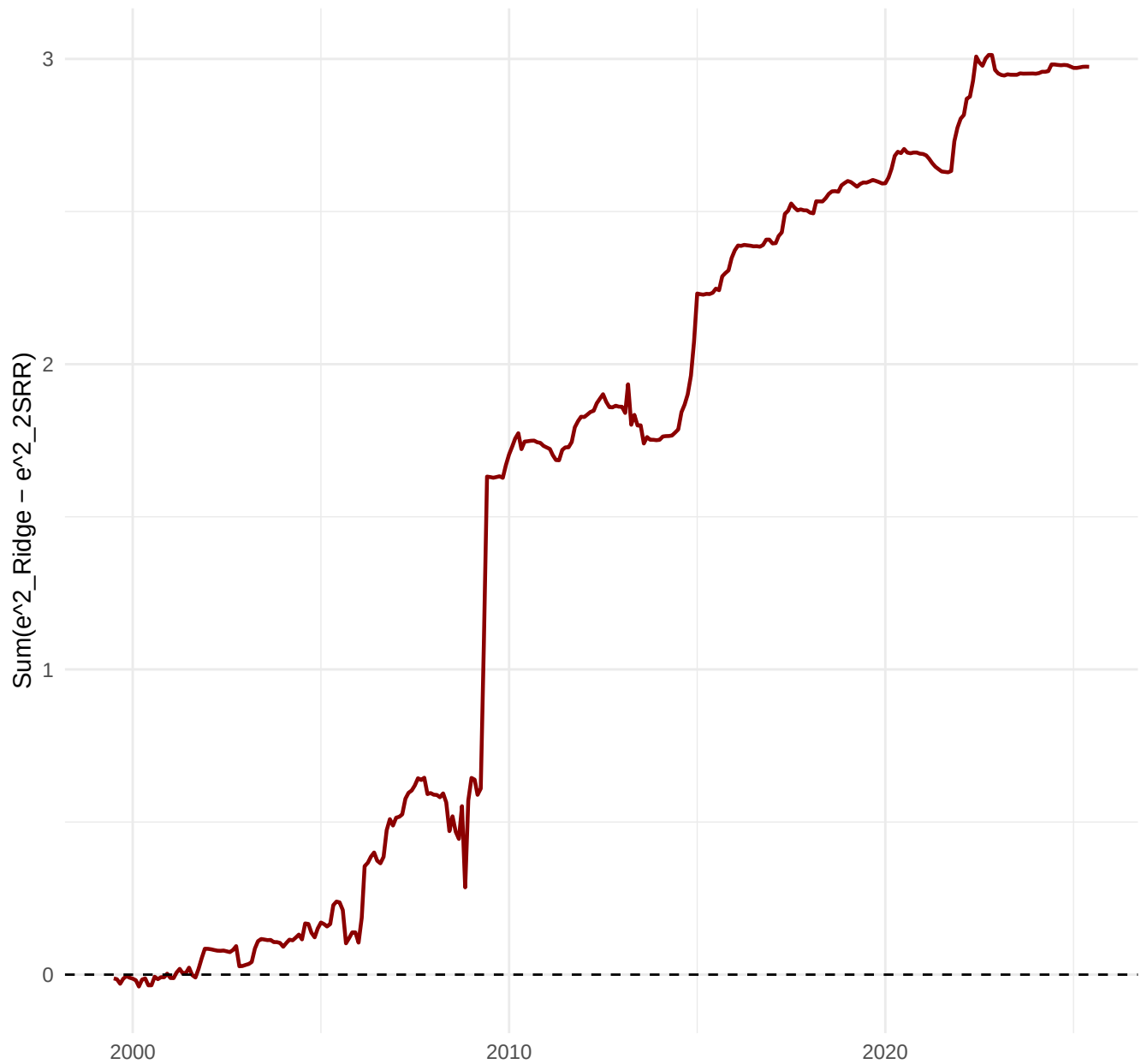
2000

2010

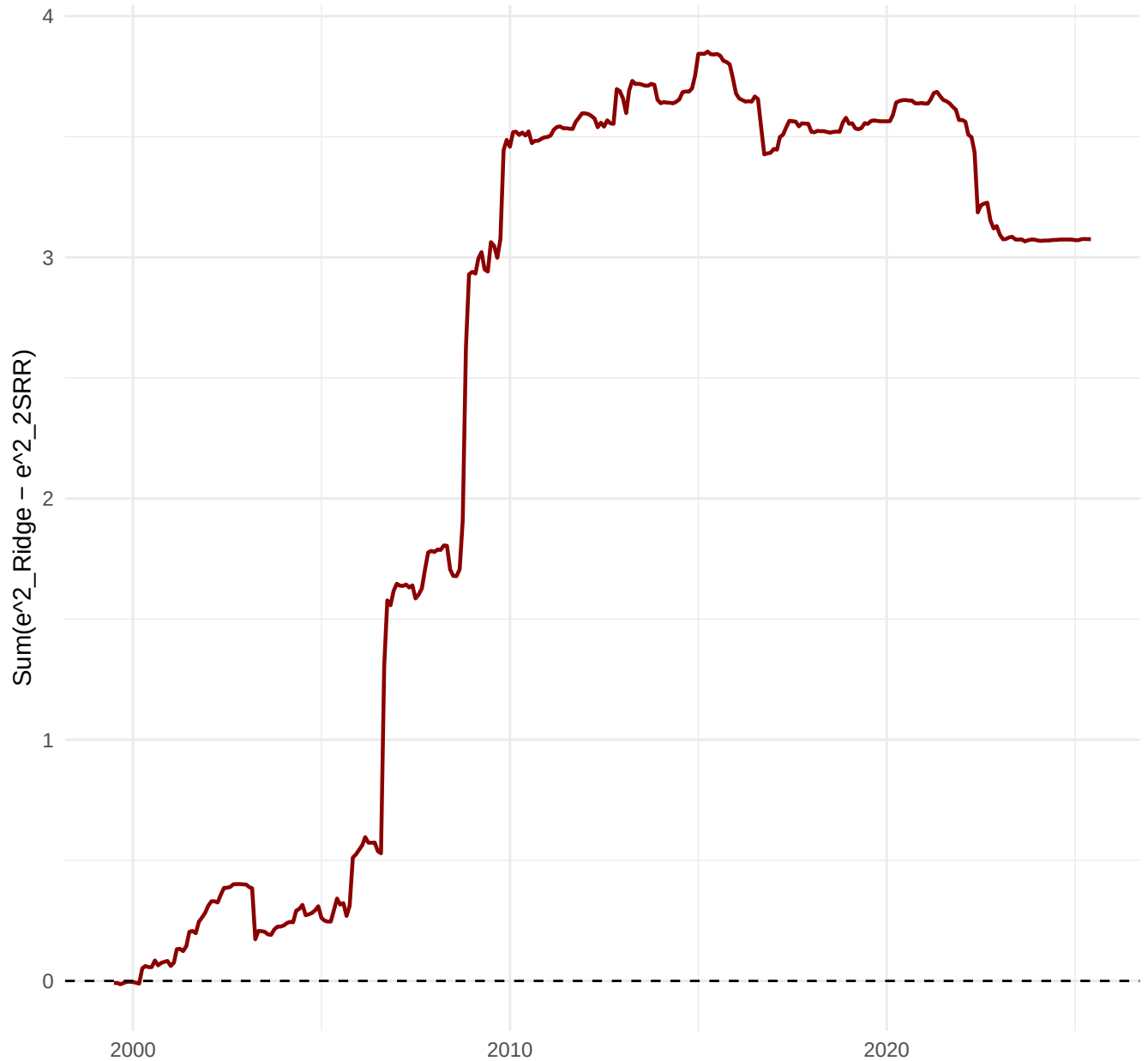
2020



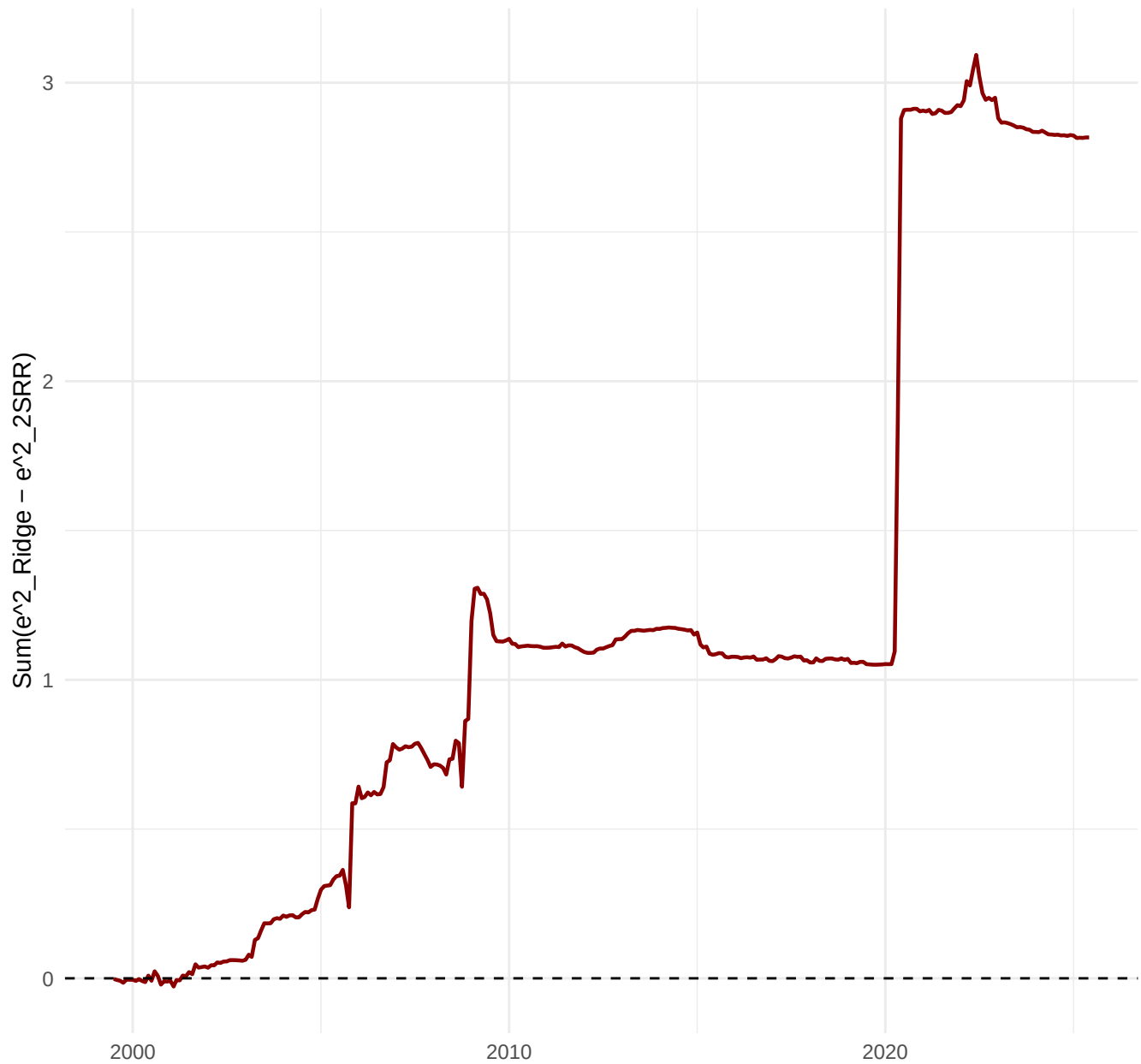
CSSED 2SRR-AR vs Ridge Step1, h=6



CSSSED 2SRR-AR vs Ridge Step1, h=12



CSSSED 2SRR-Factor vs Ridge Step1, h=1



CSSSED 2SRR-Factor vs Ridge Step1, h=3

Sum($e^2_{\text{Ridge}} - e^2_{\text{2SRR}}$)

2000

2010

2020

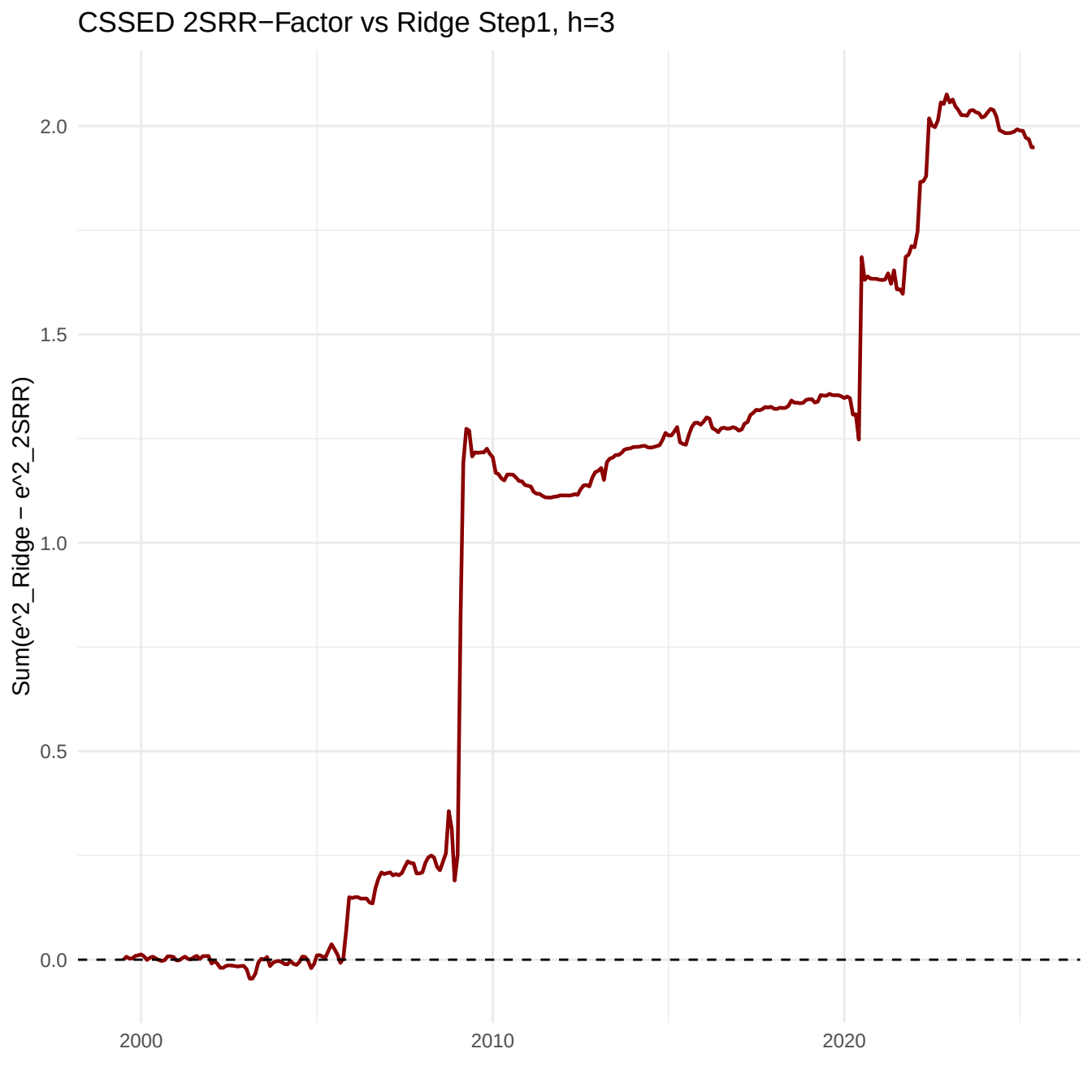
2.0

1.5

1.0

0.5

0.0



CSSED 2SRR-Factor vs Ridge Step1, h=6

Sum($e^2_{\text{Ridge}} - e^2_{\text{2SRR}}$)

1.5

1.0

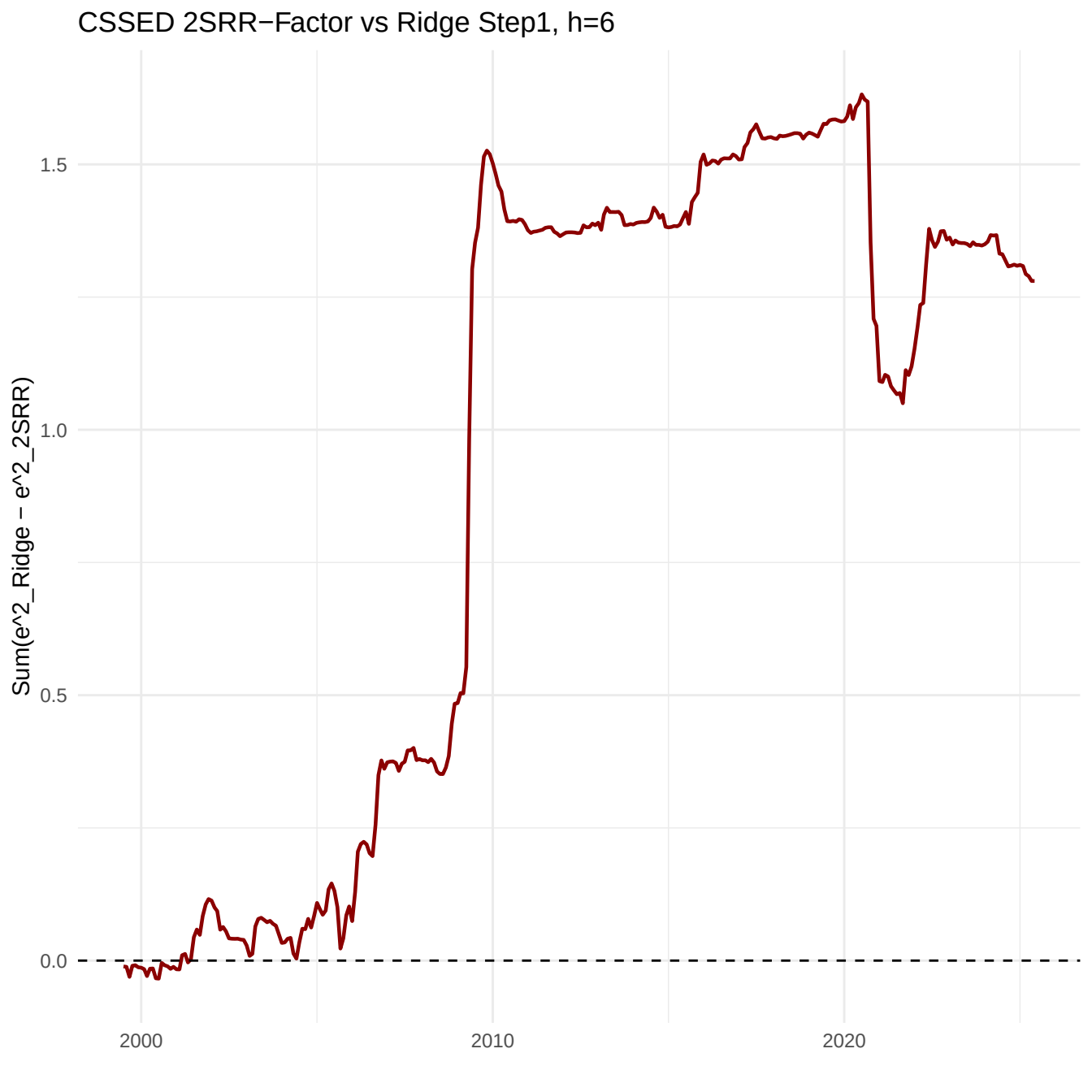
0.5

0.0

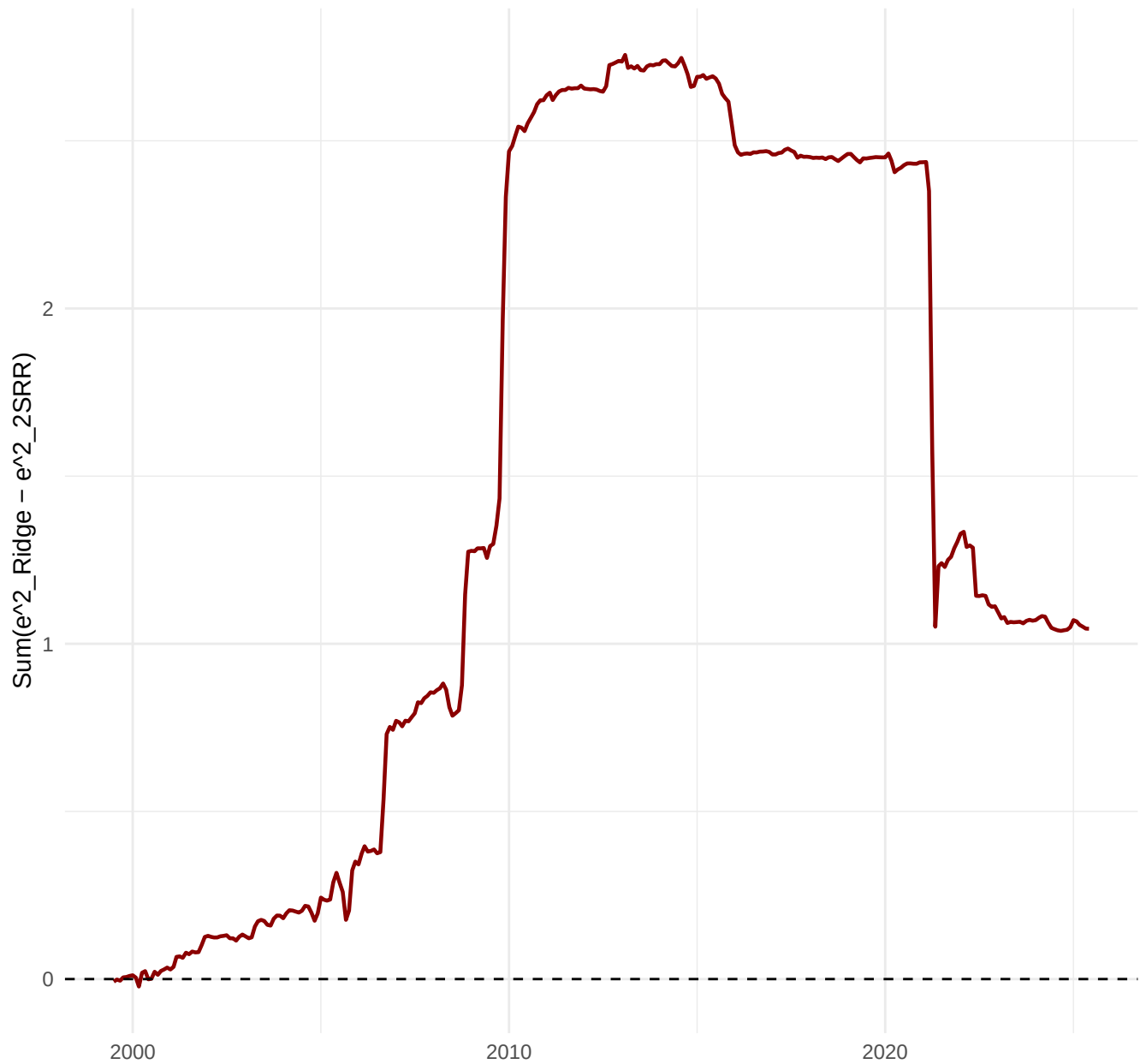
2000

2010

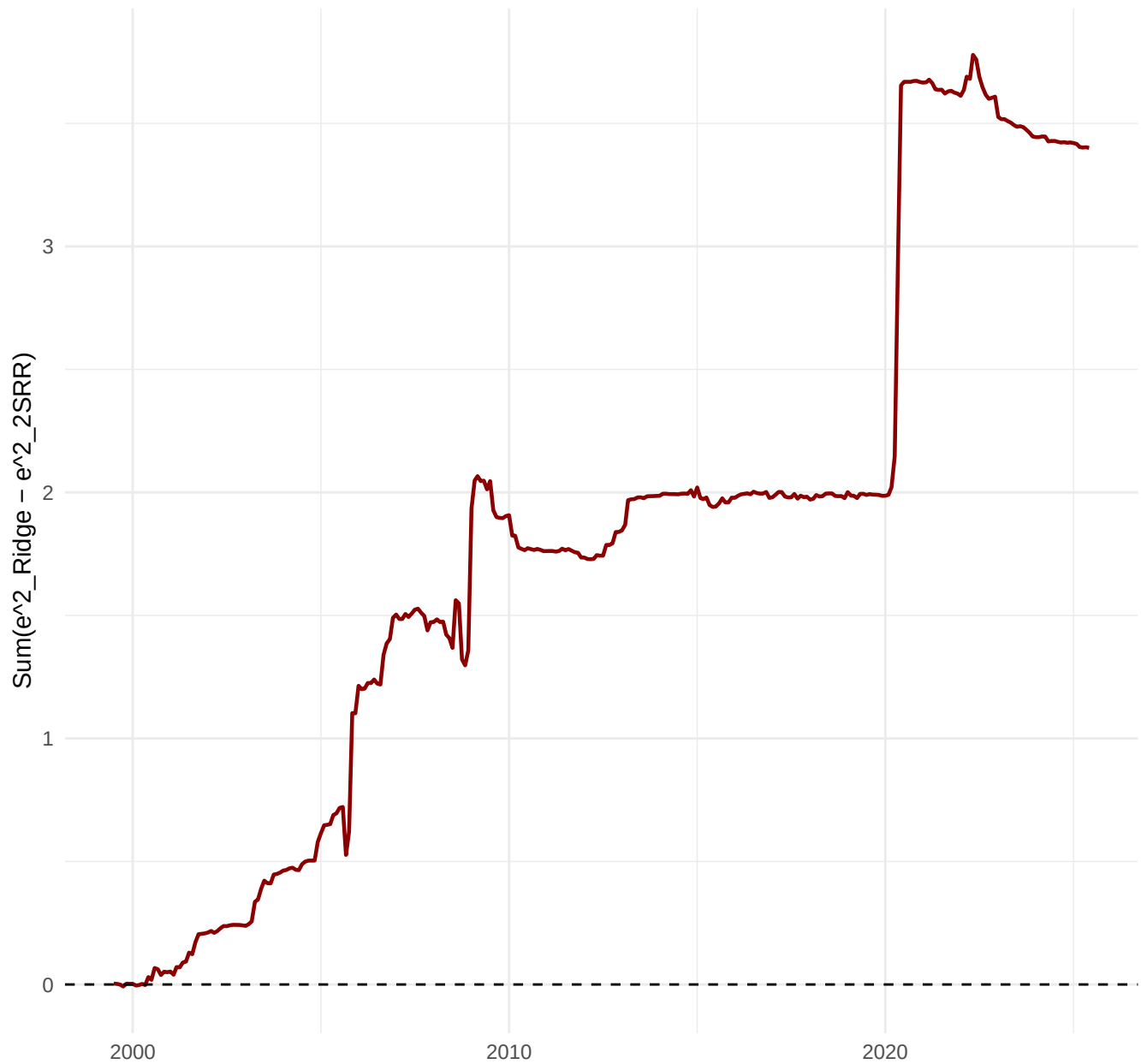
2020



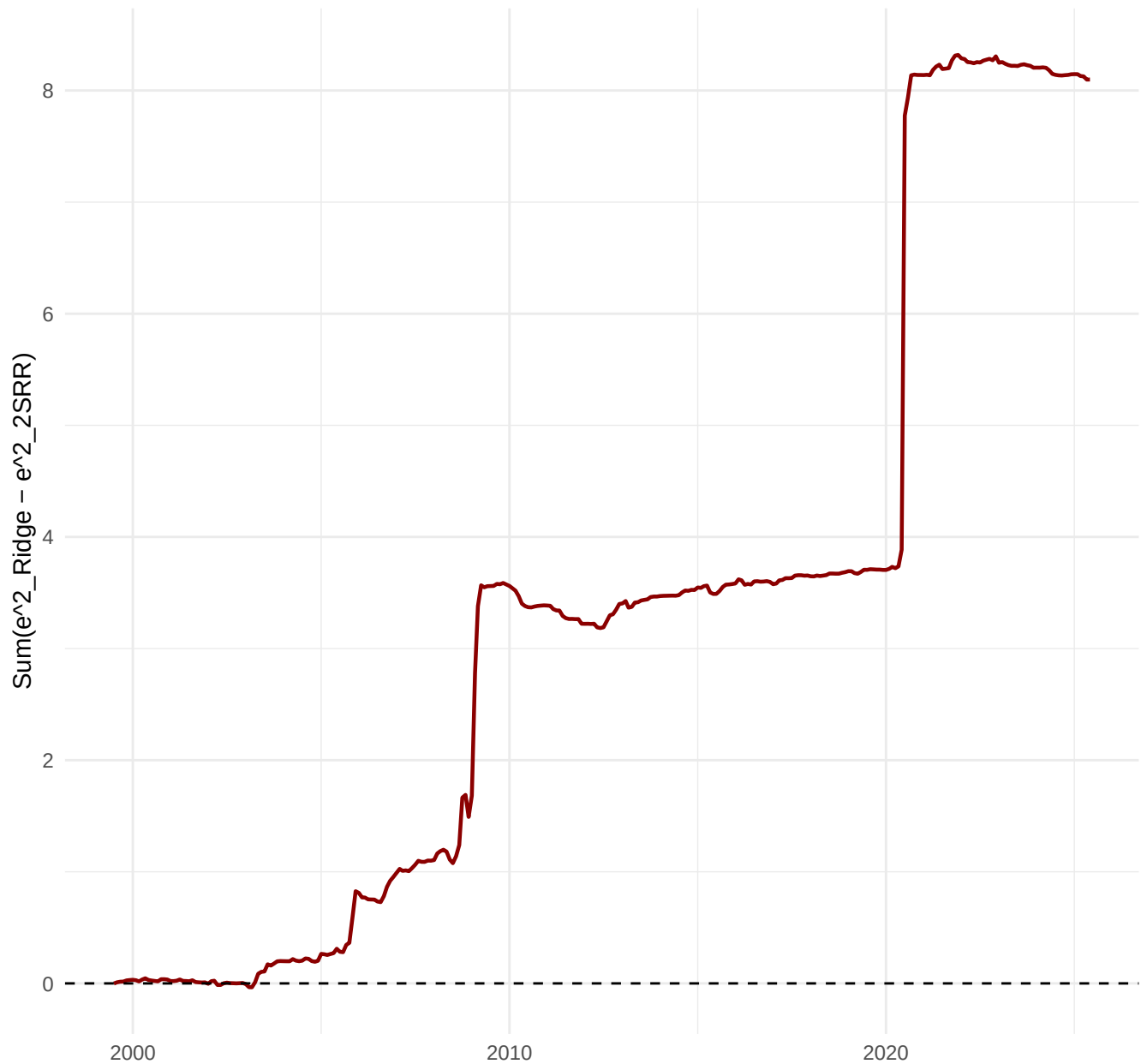
CSSSED 2SRR-Factor vs Ridge Step1, h=12



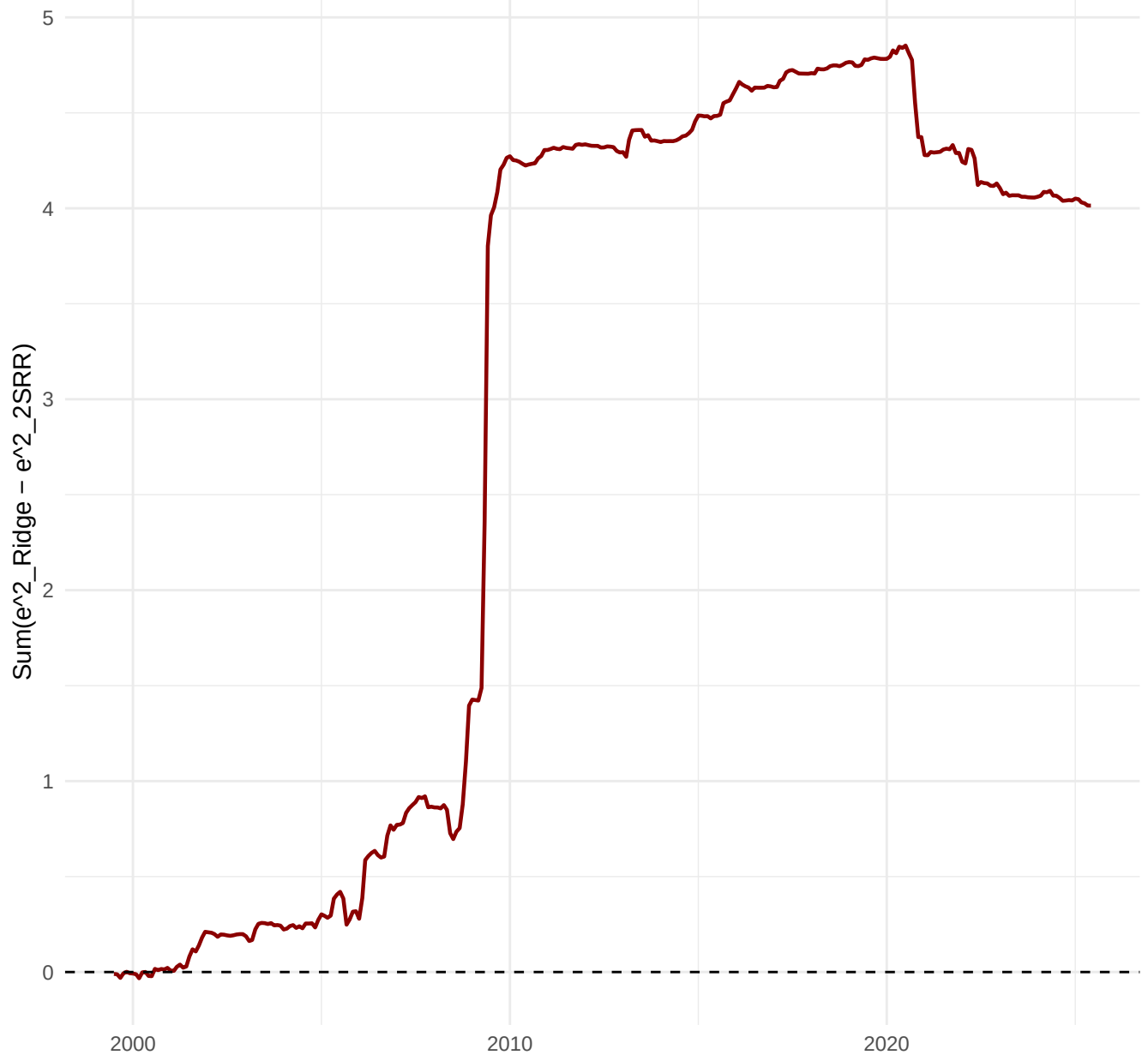
CSSSED 2SRR-FAVAR vs Ridge Step1, h=1



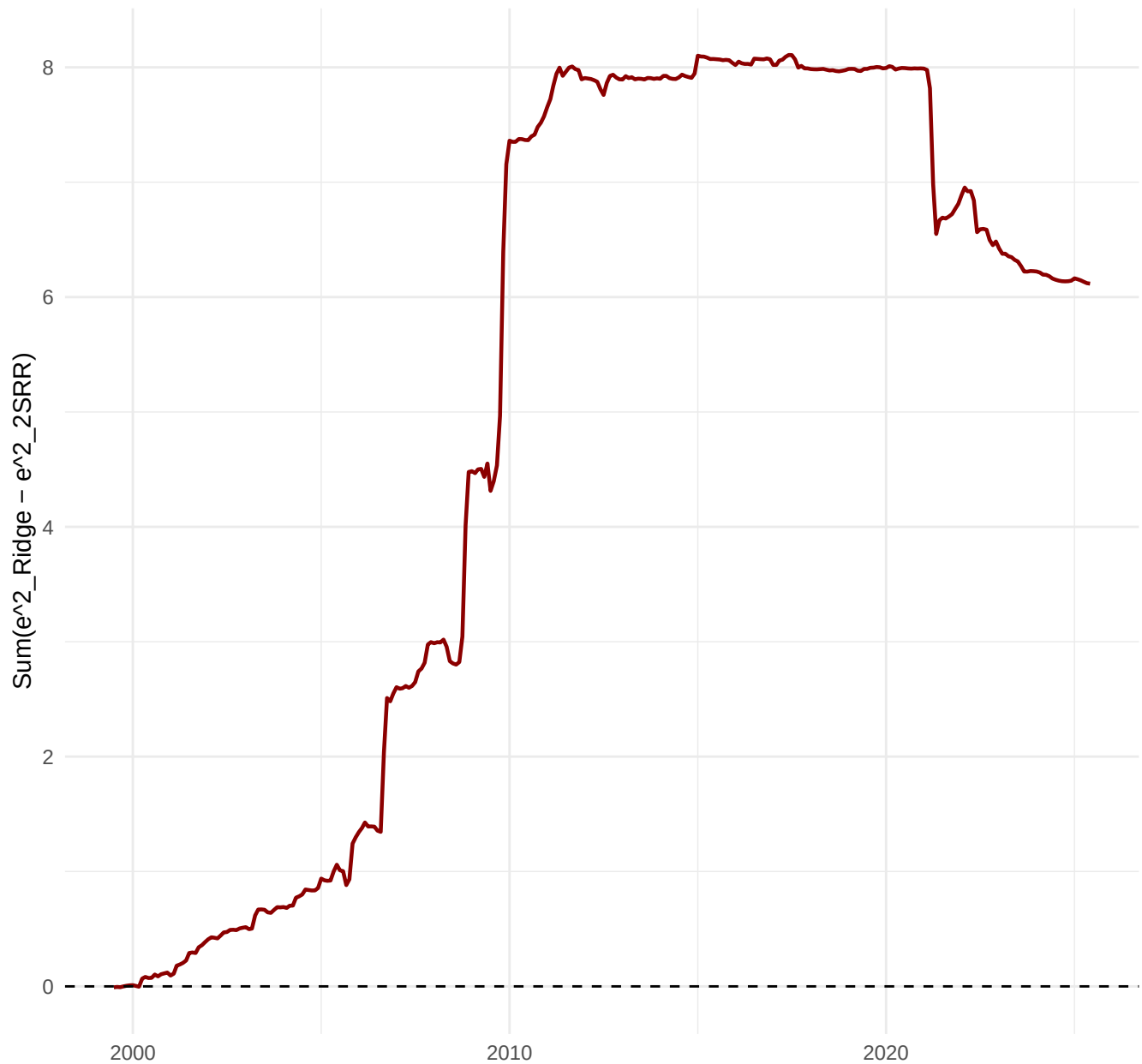
CSSSED 2SRR-FAVAR vs Ridge Step1, h=3



CSSSED 2SRR-FAVAR vs Ridge Step1, h=6



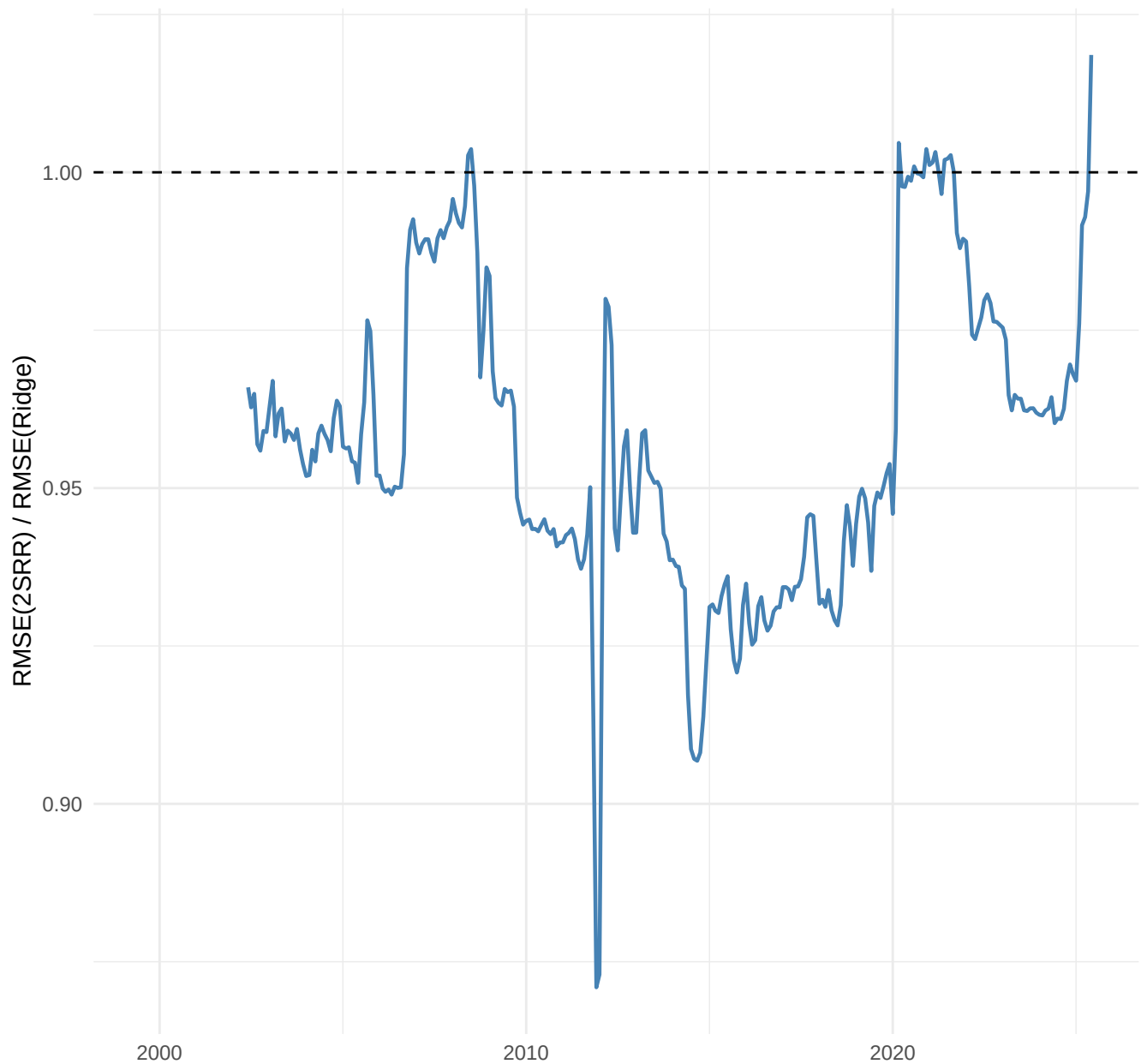
CSSSED 2SRR-FAVAR vs Ridge Step1, h=12



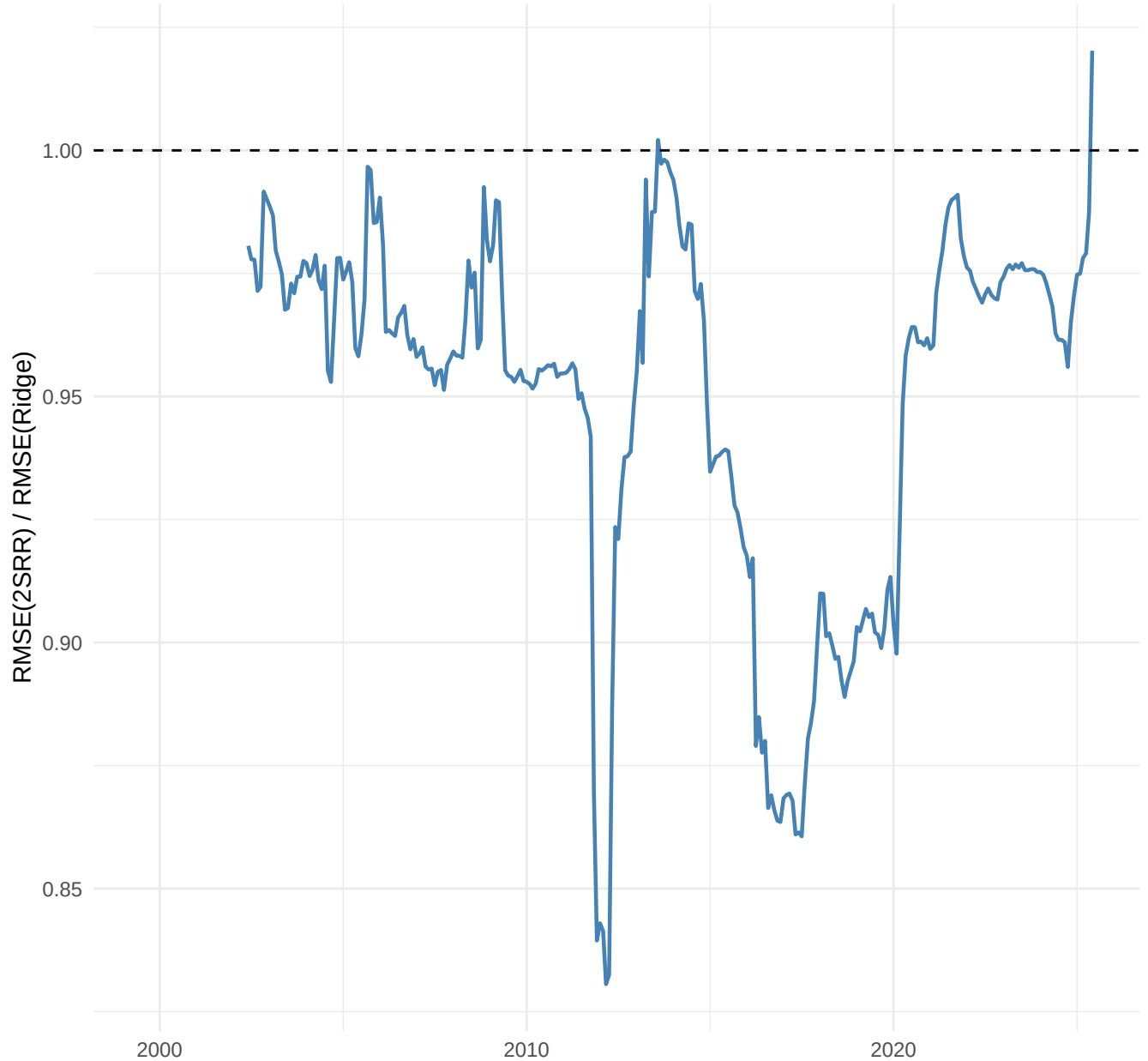
Rolling RMSE AR vs Ridge Step1 (36-month window), h=1



Rolling RMSE AR vs Ridge Step1 (36-month window), h=3



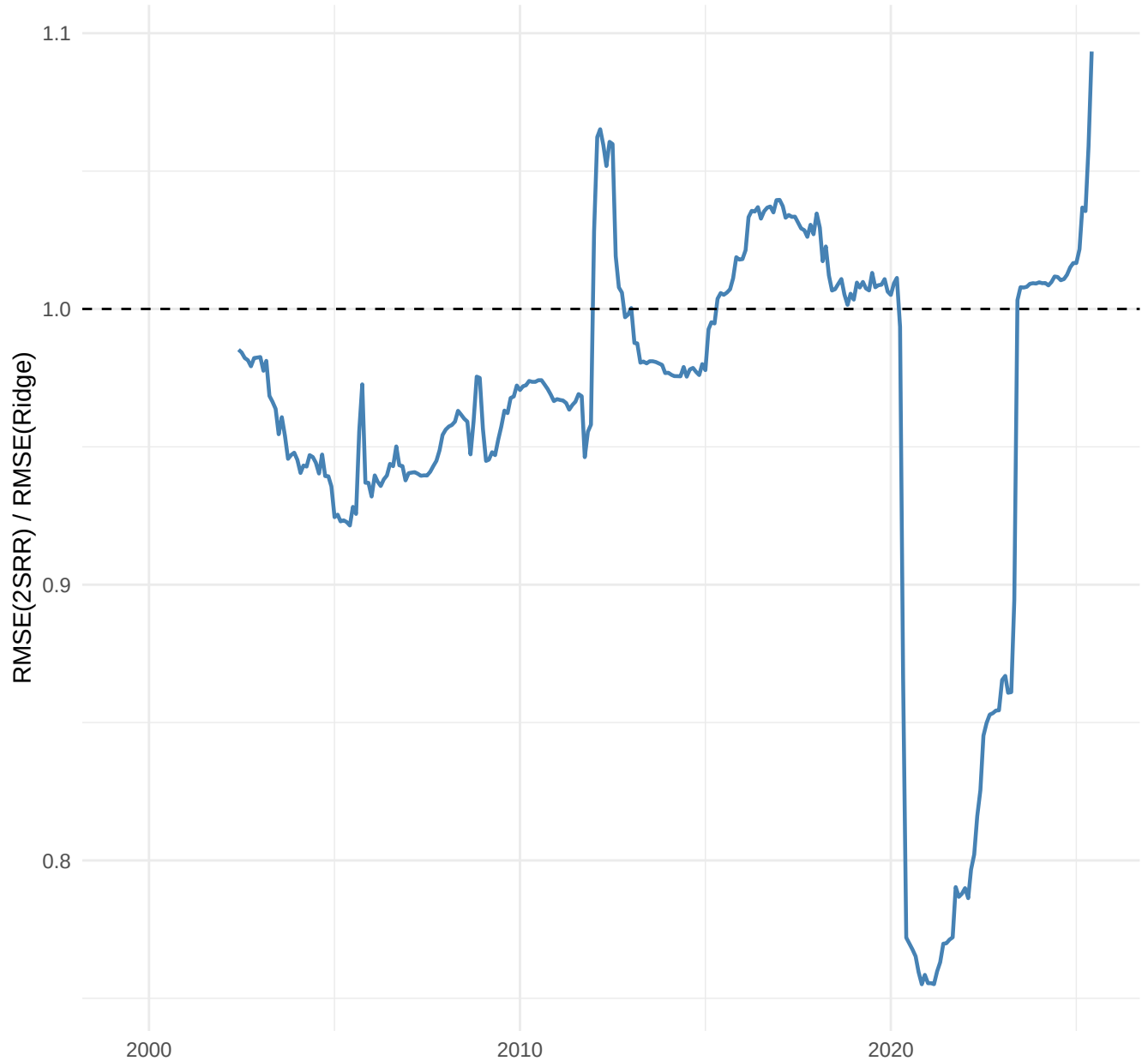
Rolling RMSE AR vs Ridge Step1 (36-month window), h=6



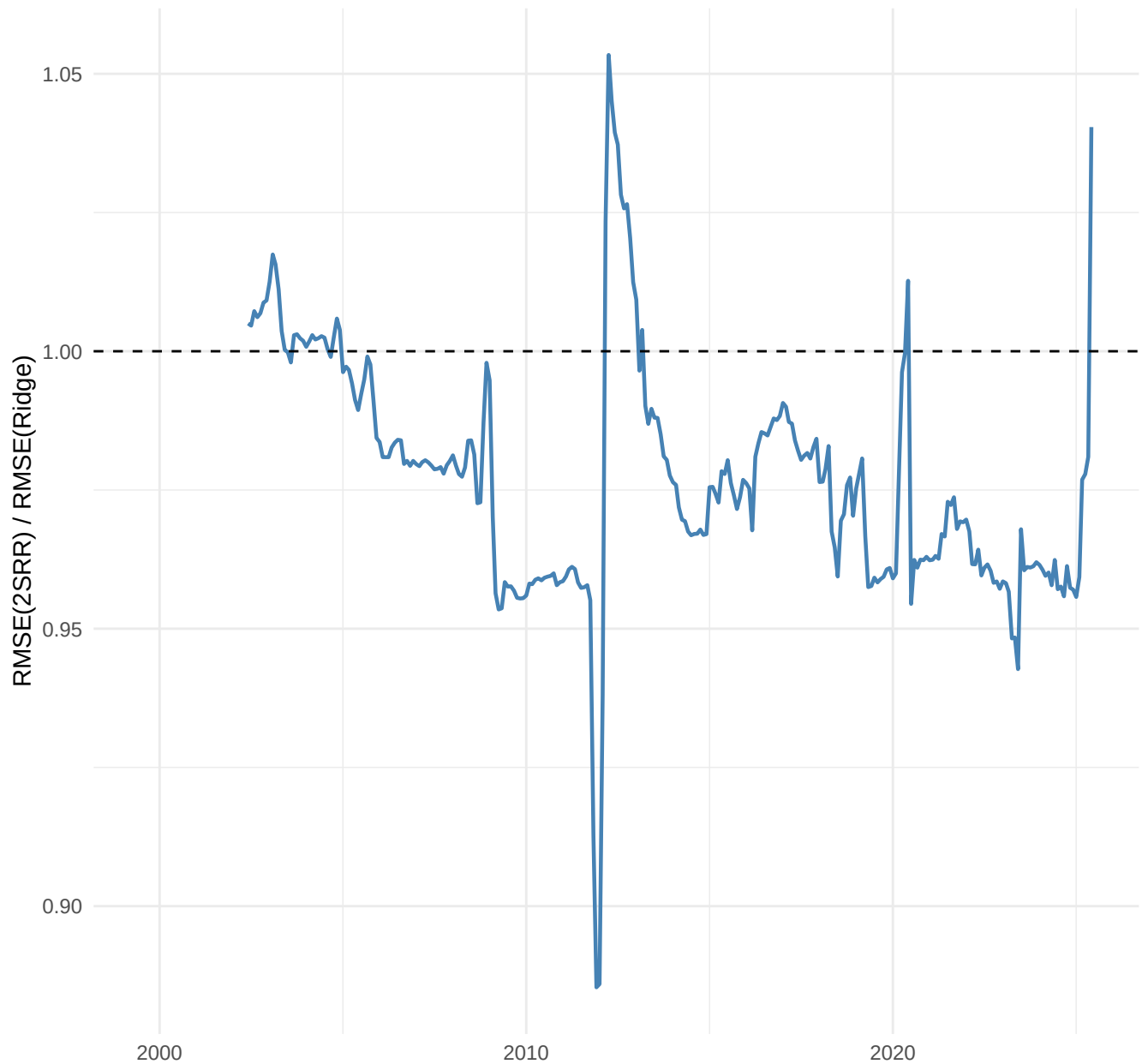
Rolling RMSE AR vs Ridge Step1 (36-month window), $h=12$



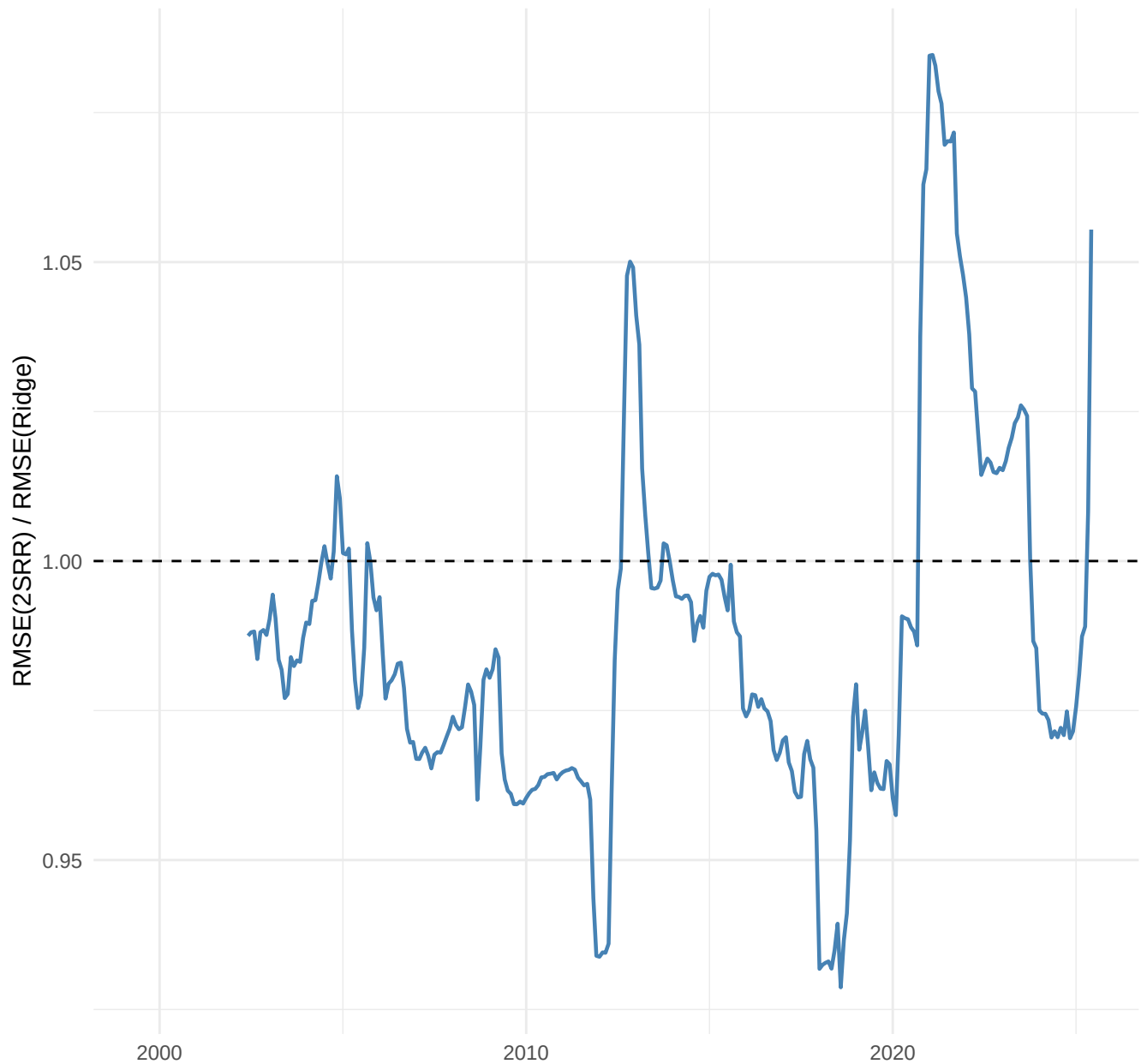
Rolling RMSE Factor vs Ridge Step1 (36-month window), $h=1$



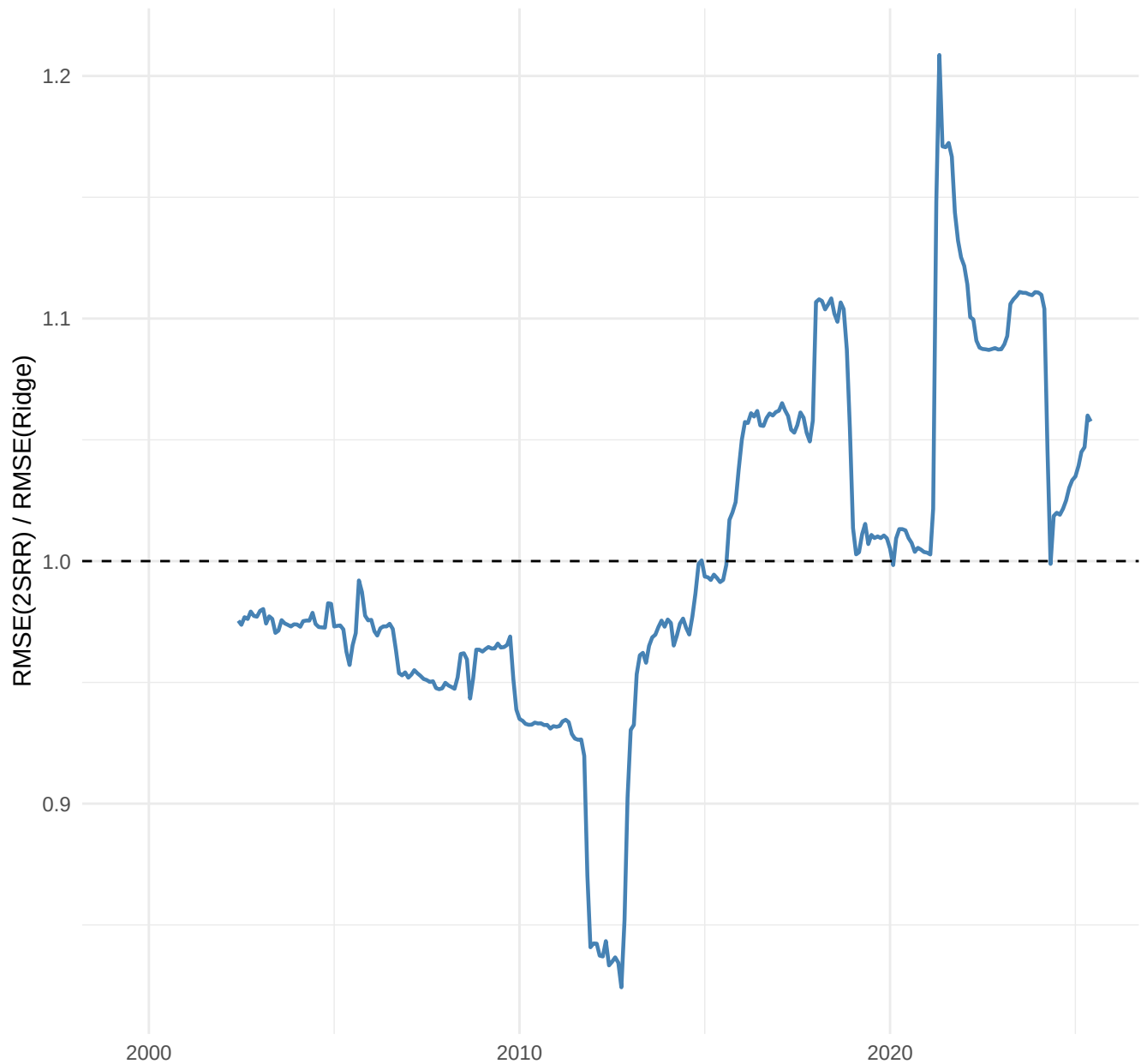
Rolling RMSE Factor vs Ridge Step1 (36-month window), $h=3$



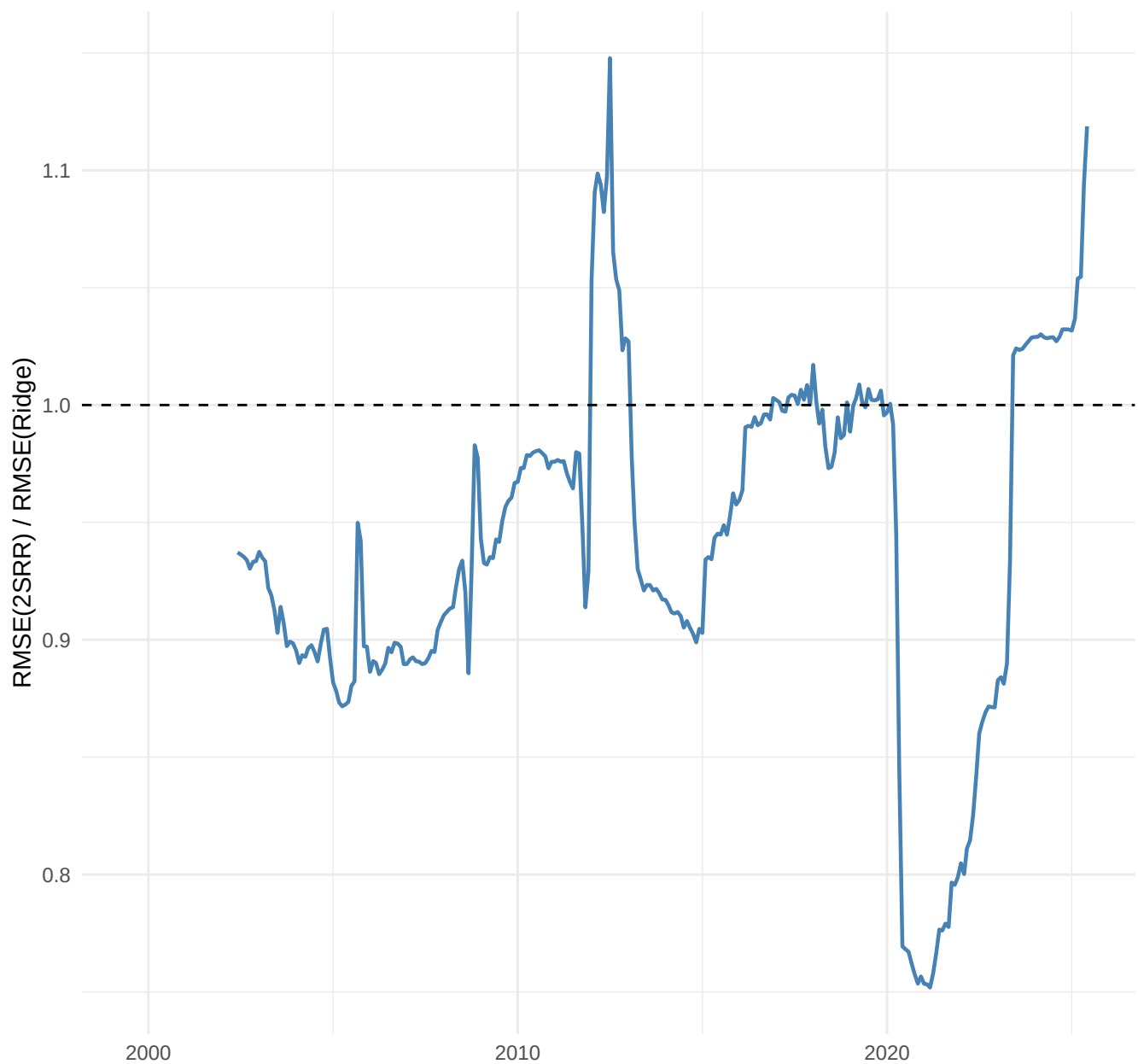
Rolling RMSE Factor vs Ridge Step1 (36-month window), h=6



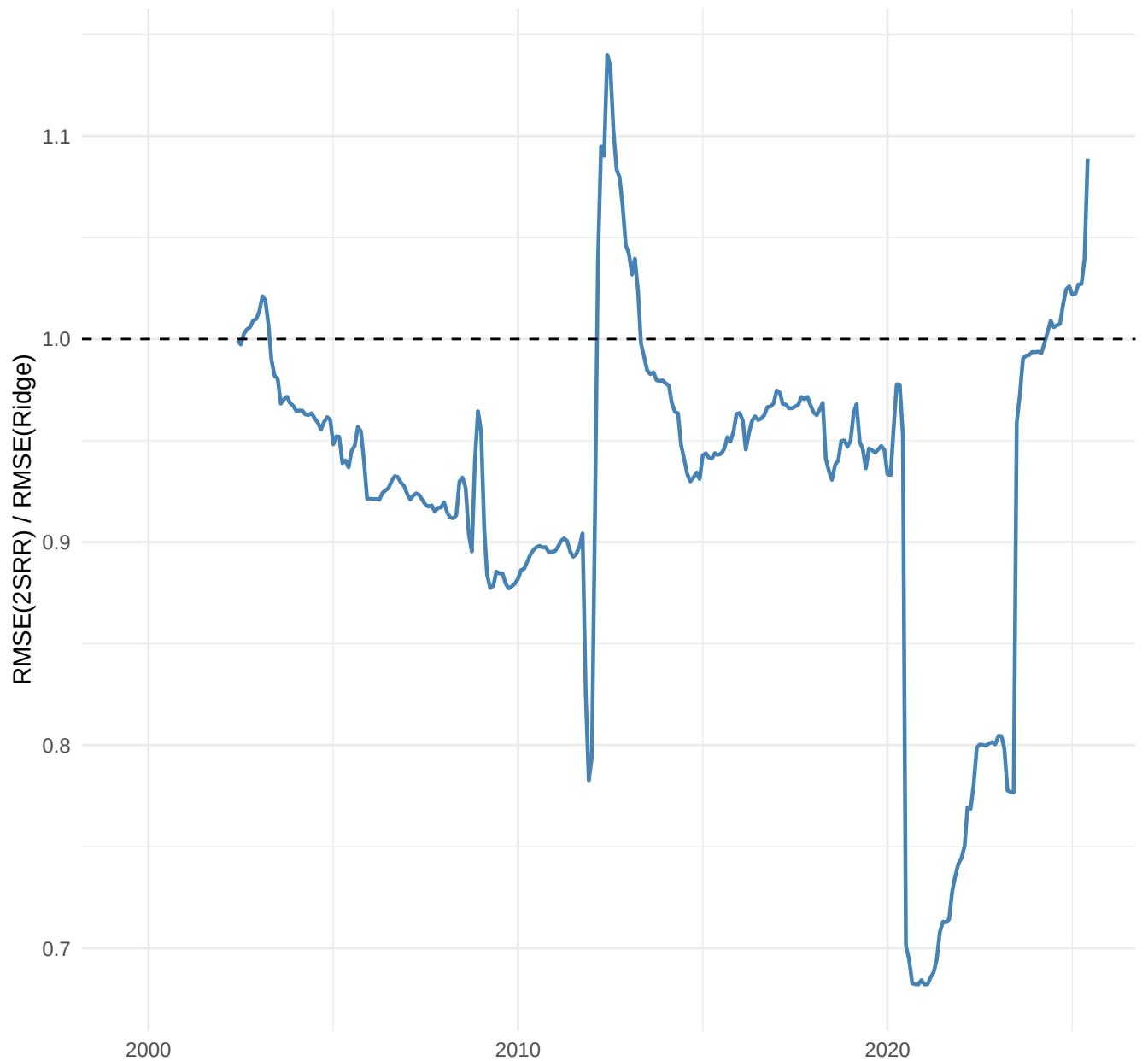
Rolling RMSE Factor vs Ridge Step1 (36-month window), h=12



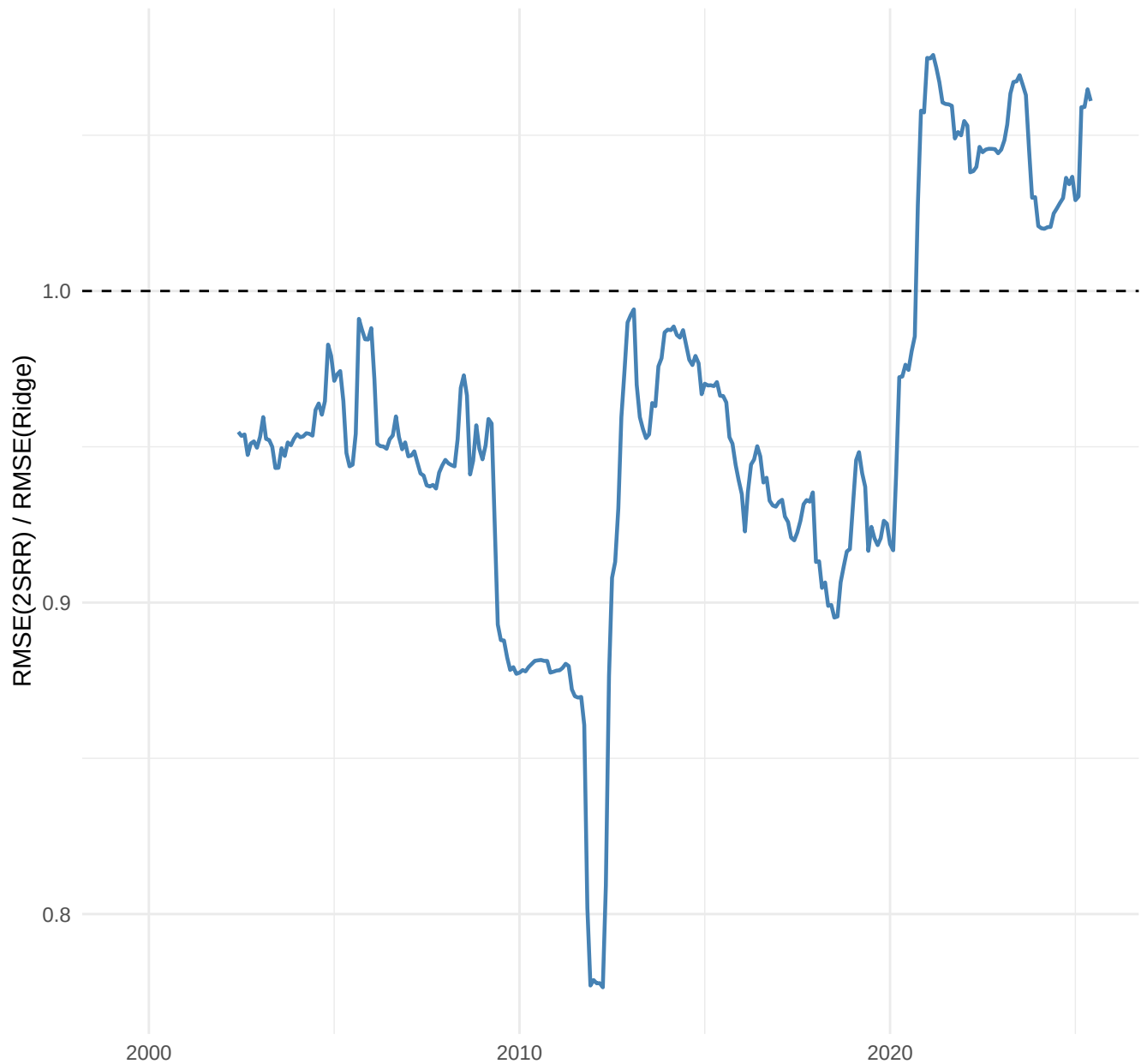
Rolling RMSE FAVAR vs Ridge Step1 (36-month window), $h=1$



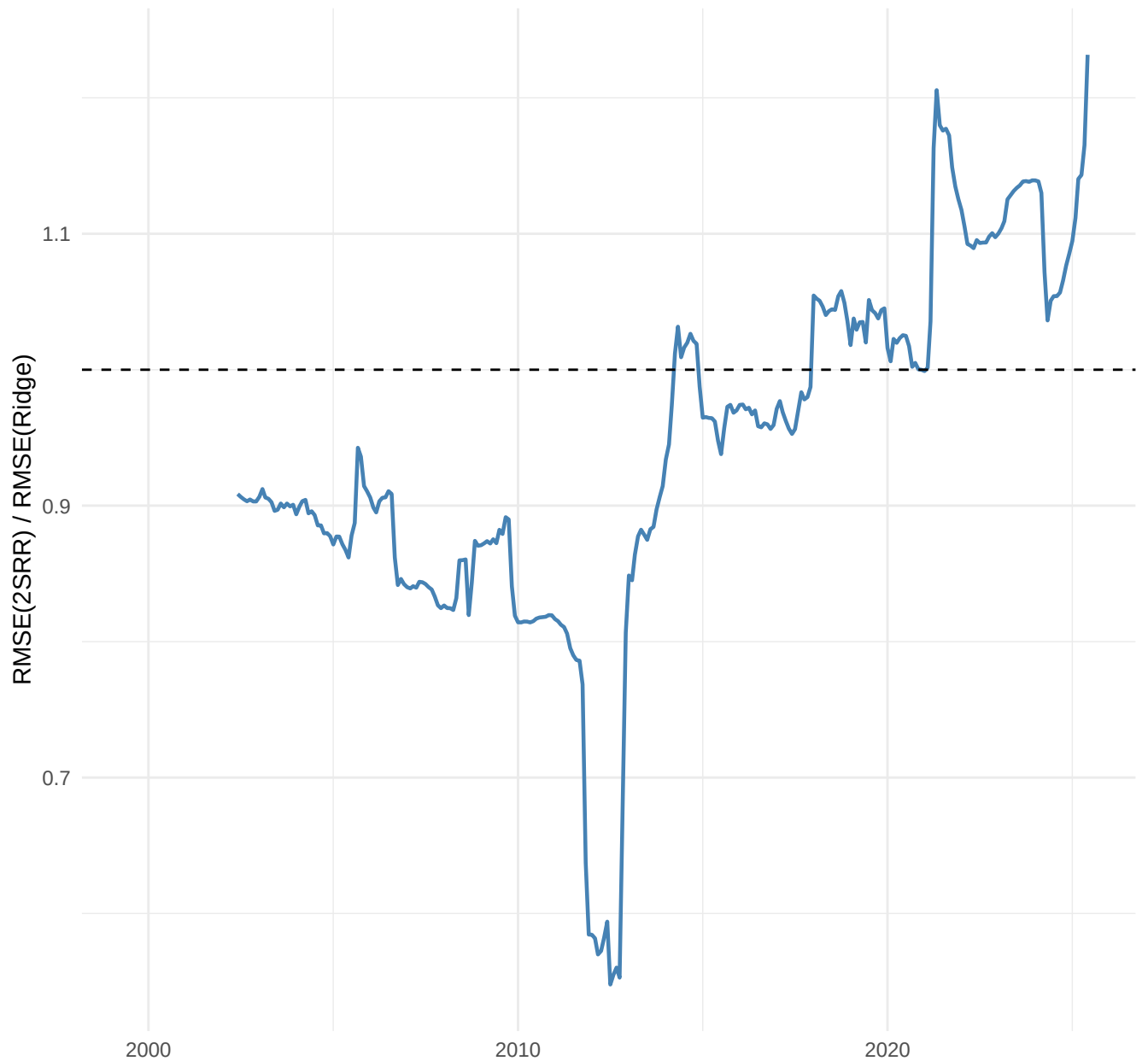
Rolling RMSE FAVAR vs Ridge Step1 (36-month window), $h=3$



Rolling RMSE FAVAR vs Ridge Step1 (36-month window), $h=6$



Rolling RMSE FAVAR vs Ridge Step1 (36-month window), $h=12$



Forecasts h=1 (monthly scale): 2SRR-FAVAR + 2 best + worst Medeiros



Realized = monthly y_t ; coloured lines = forecast of π_{t+h} (no rescaling)

Forecasts h=3 (monthly scale): 2SRR-FAVAR + 2 best + worst Medeiros



Realized = monthly y_t ; coloured lines = forecast of π_{t+h} (no rescaling)

Forecasts h=6 (monthly scale): 2SRR-FAVAR + 2 best + worst Medeiros



Realized = monthly y_t ; coloured lines = forecast of π_{t+h} (no rescaling)

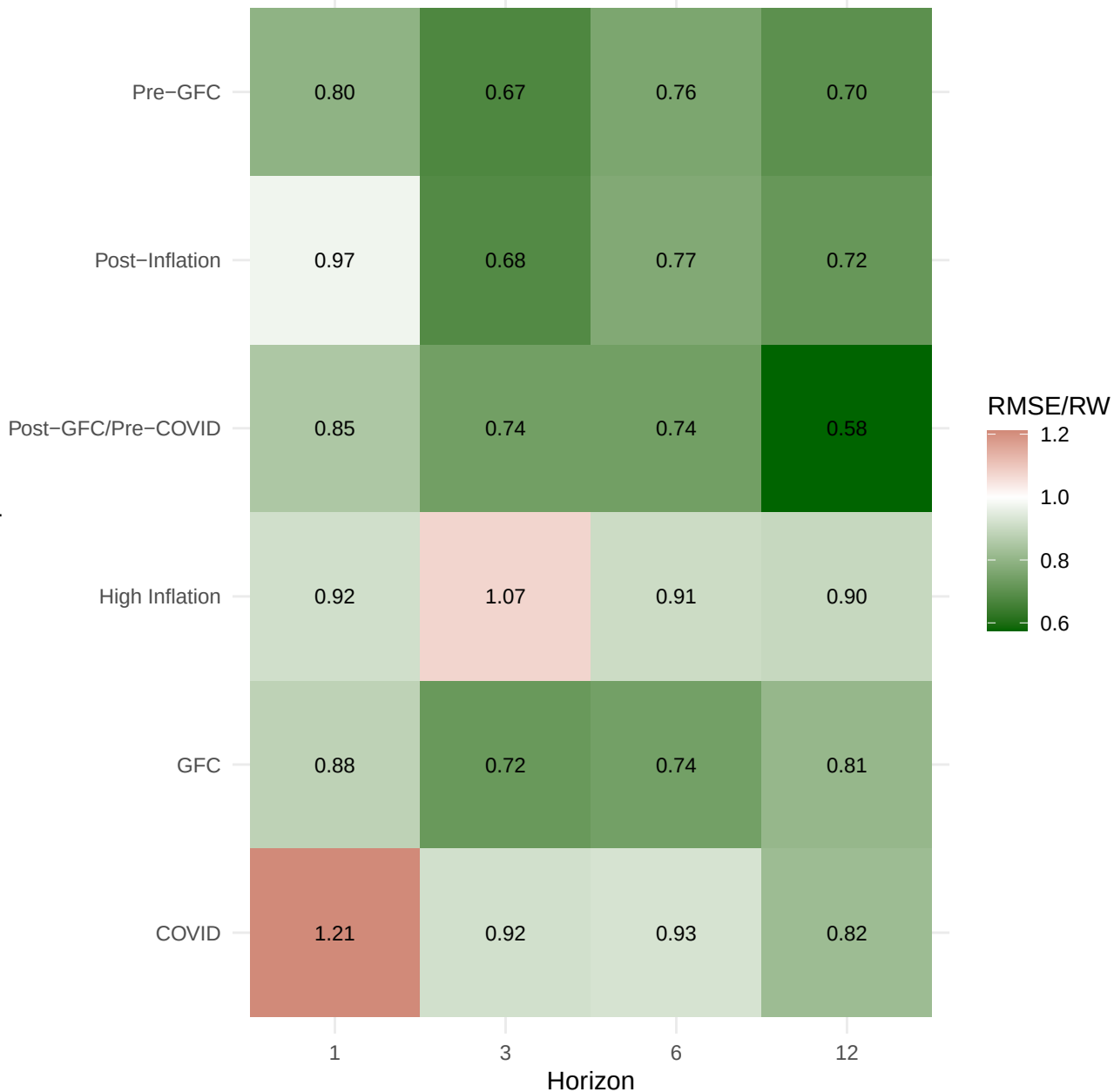
Forecasts $h=12$ (monthly scale): 2SRR-FAVAR + 2 best + worst Medeiros



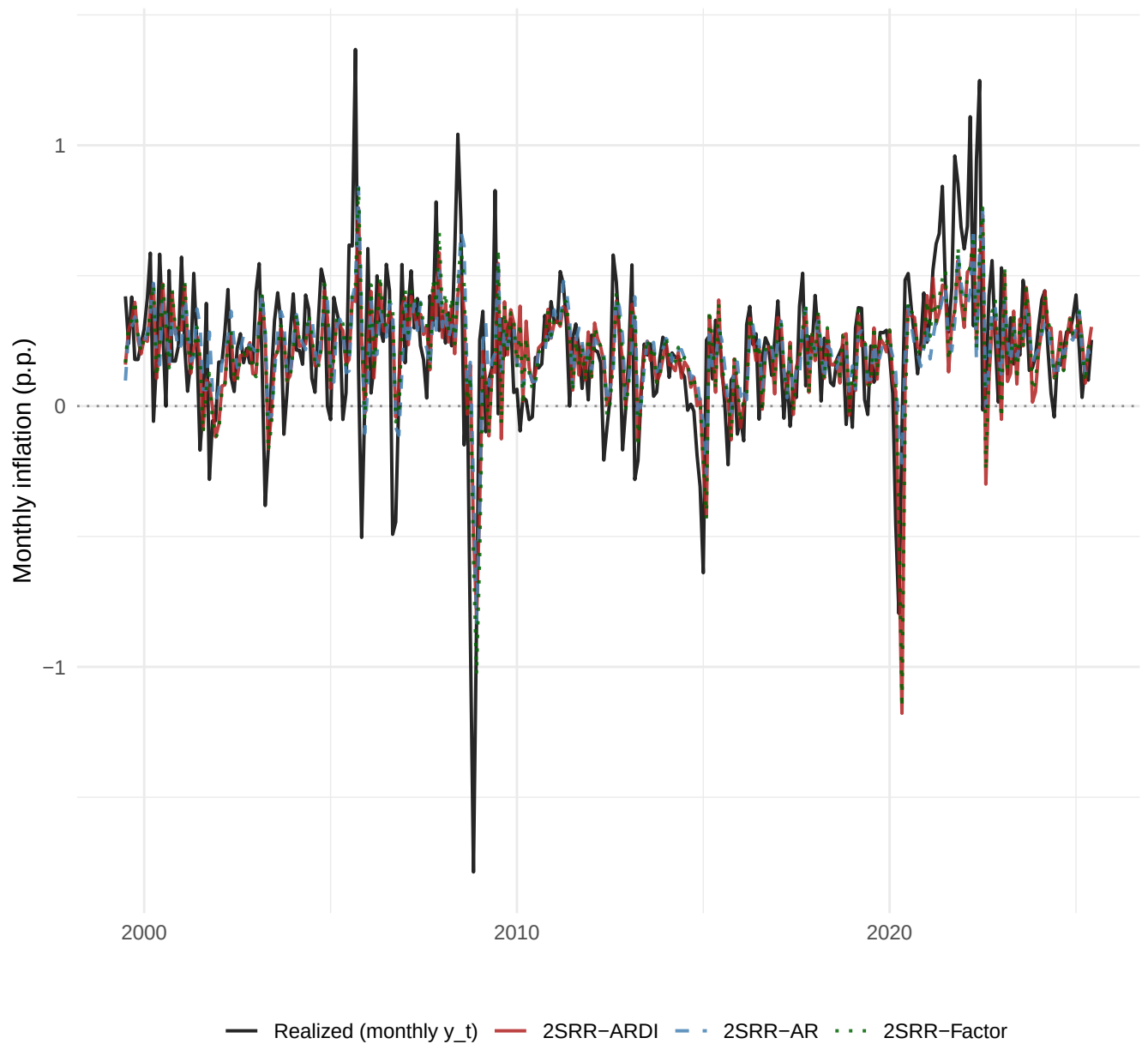
Realized = monthly y_t ; coloured lines = forecast of π_{t+h} (no rescaling)

TVP-ARDI: RMSE relative to RW per sub-period

Sub-period

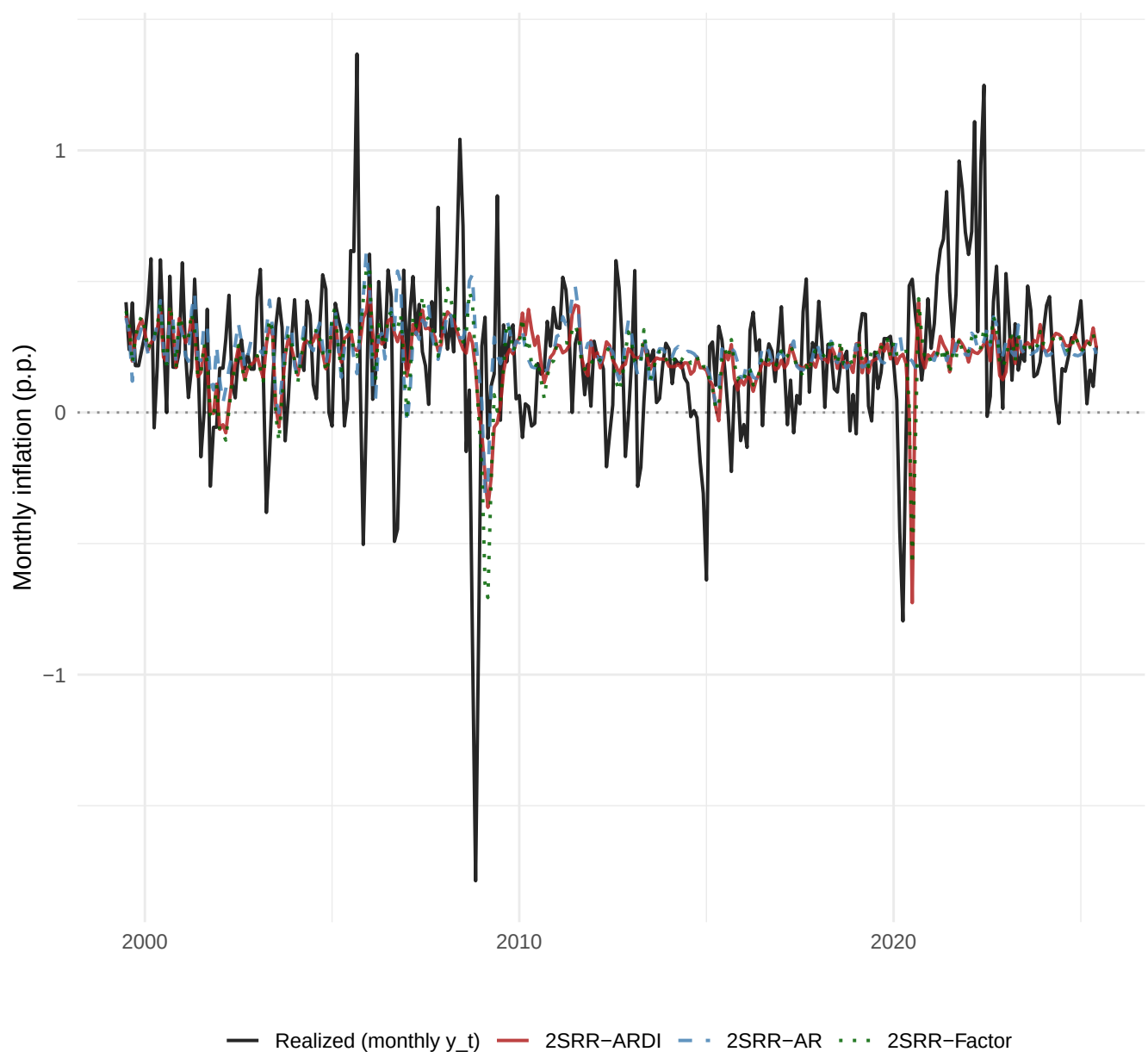


2SRR (3 cases) vs monthly realized, h=1



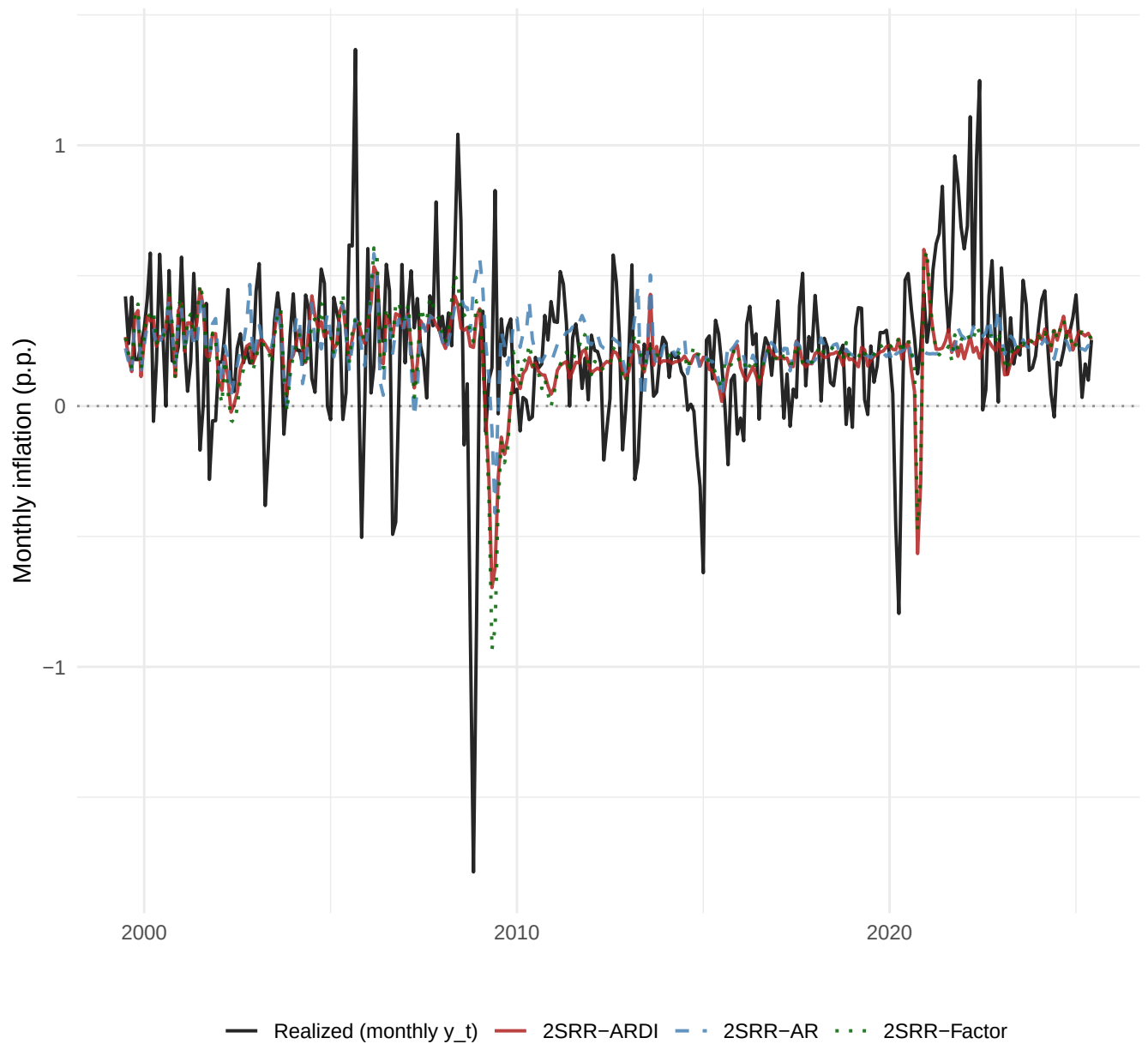
Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

2SRR (3 cases) vs monthly realized, h=3



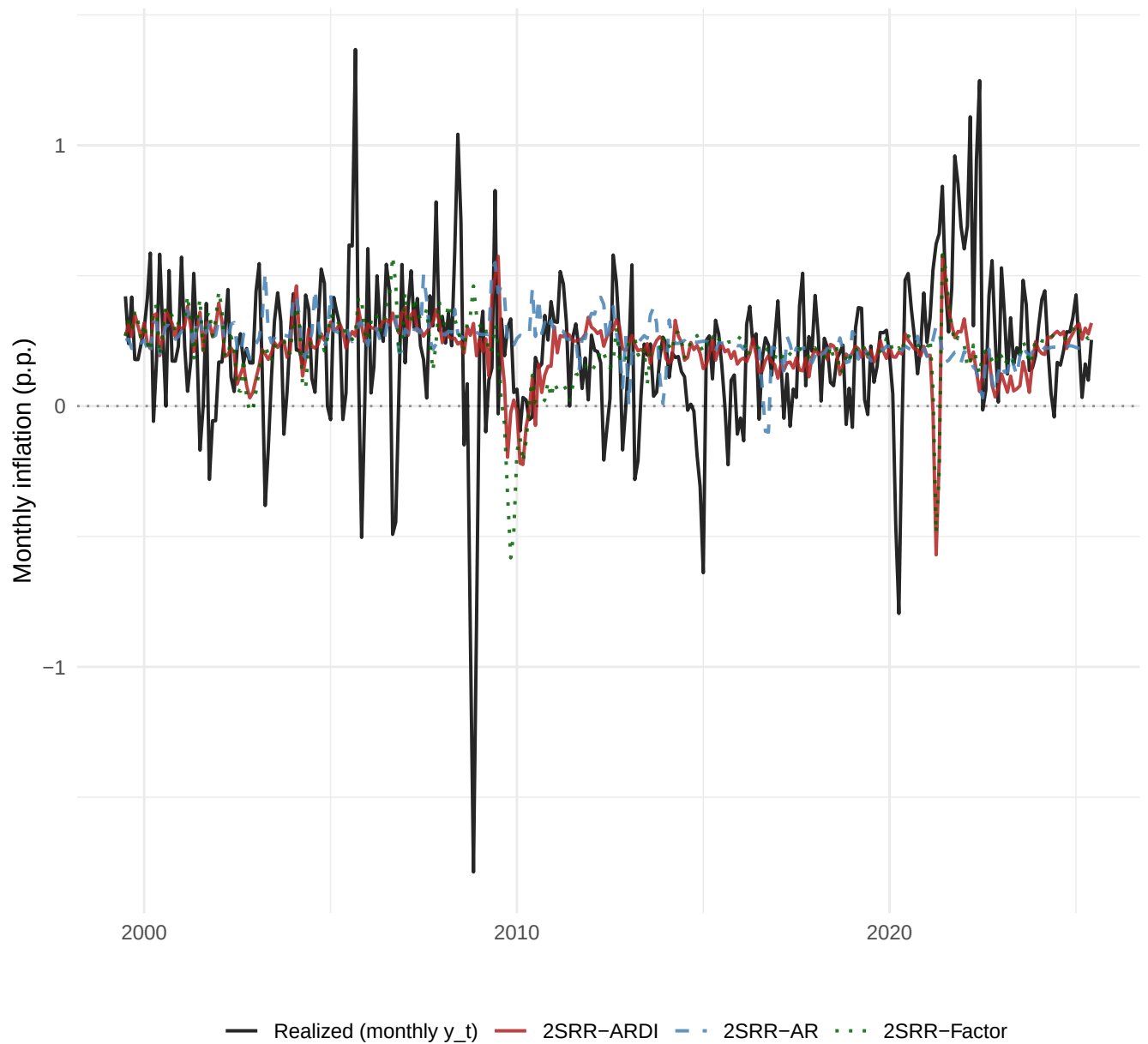
Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

2SRR (3 cases) vs monthly realized, h=6



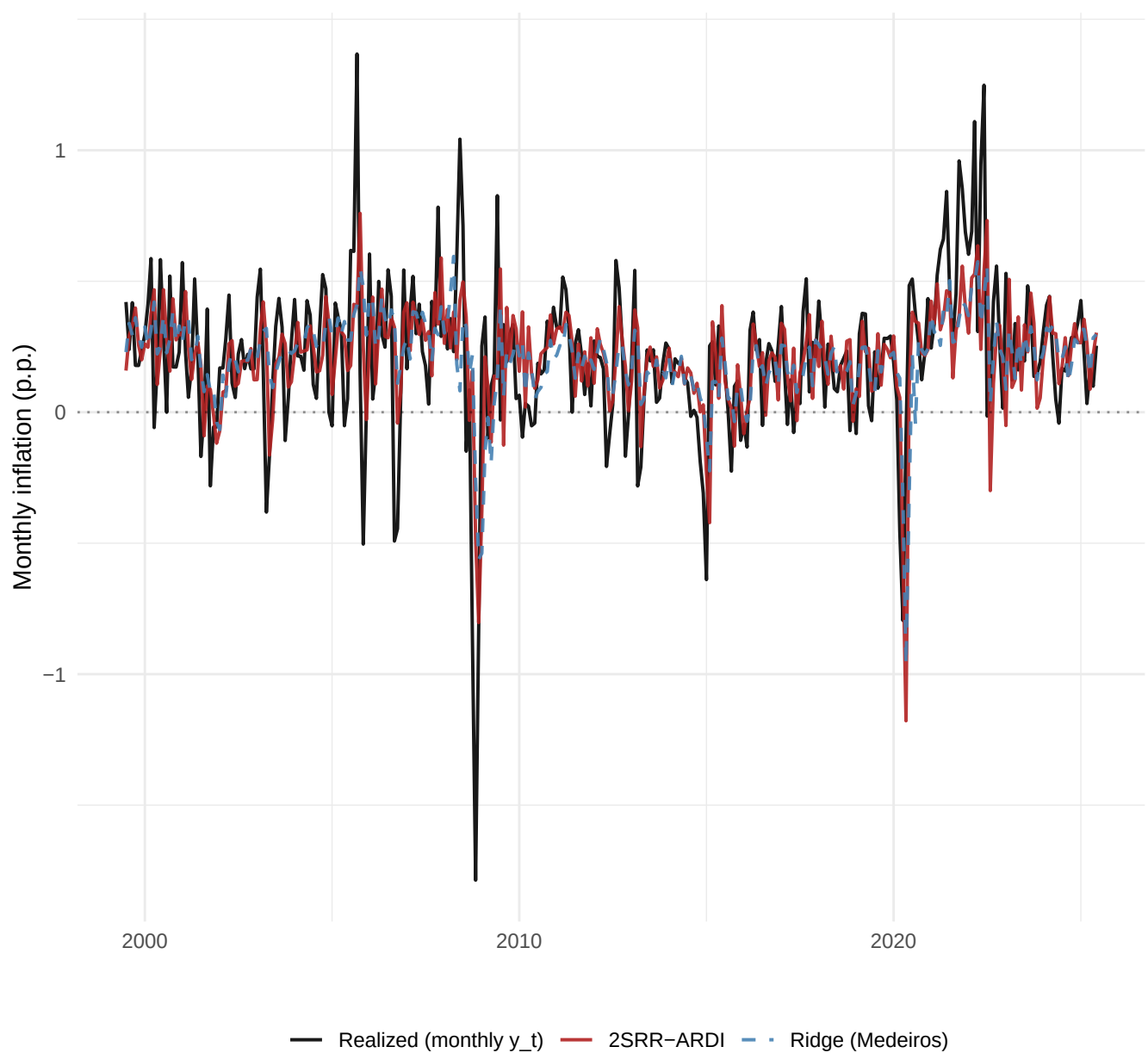
Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

2SRR (3 cases) vs monthly realized, h=12



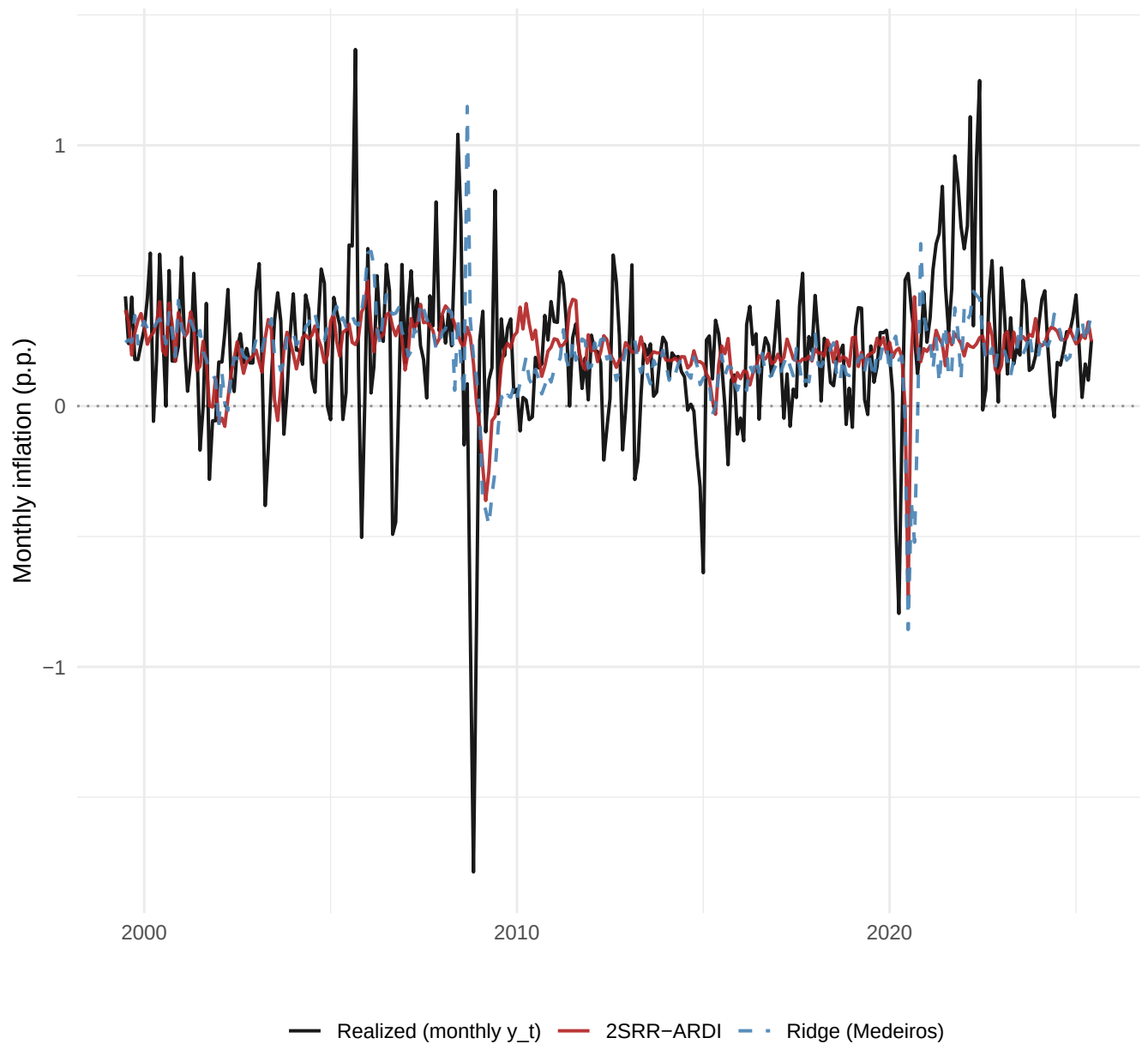
Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

2SRR-ARDI vs classical Ridge (Medeiros), h=1



Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

2SRR-ARDI vs classical Ridge (Medeiros), $h=3$

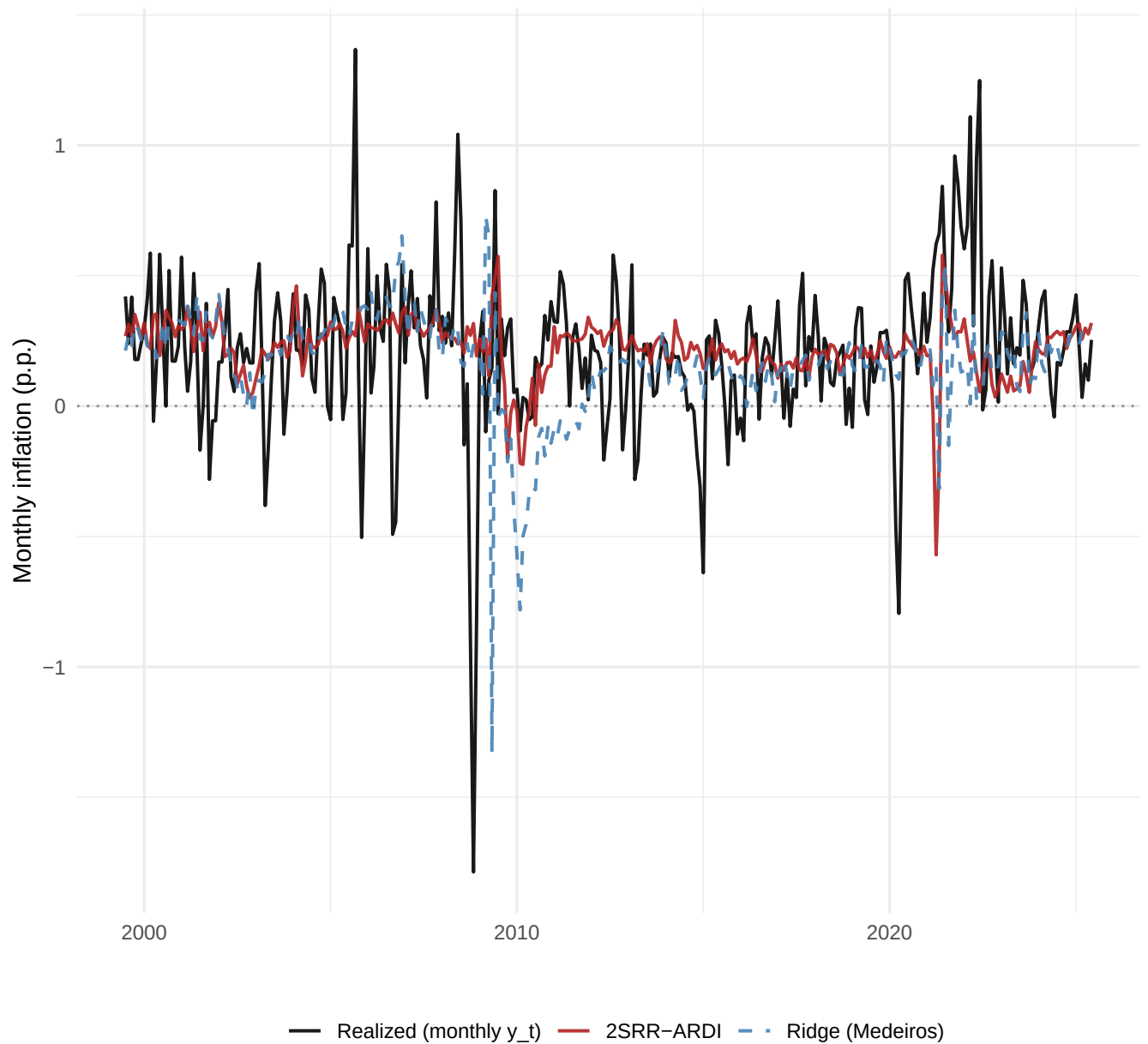


2SRR-ARDI vs classical Ridge (Medeiros), $h=6$



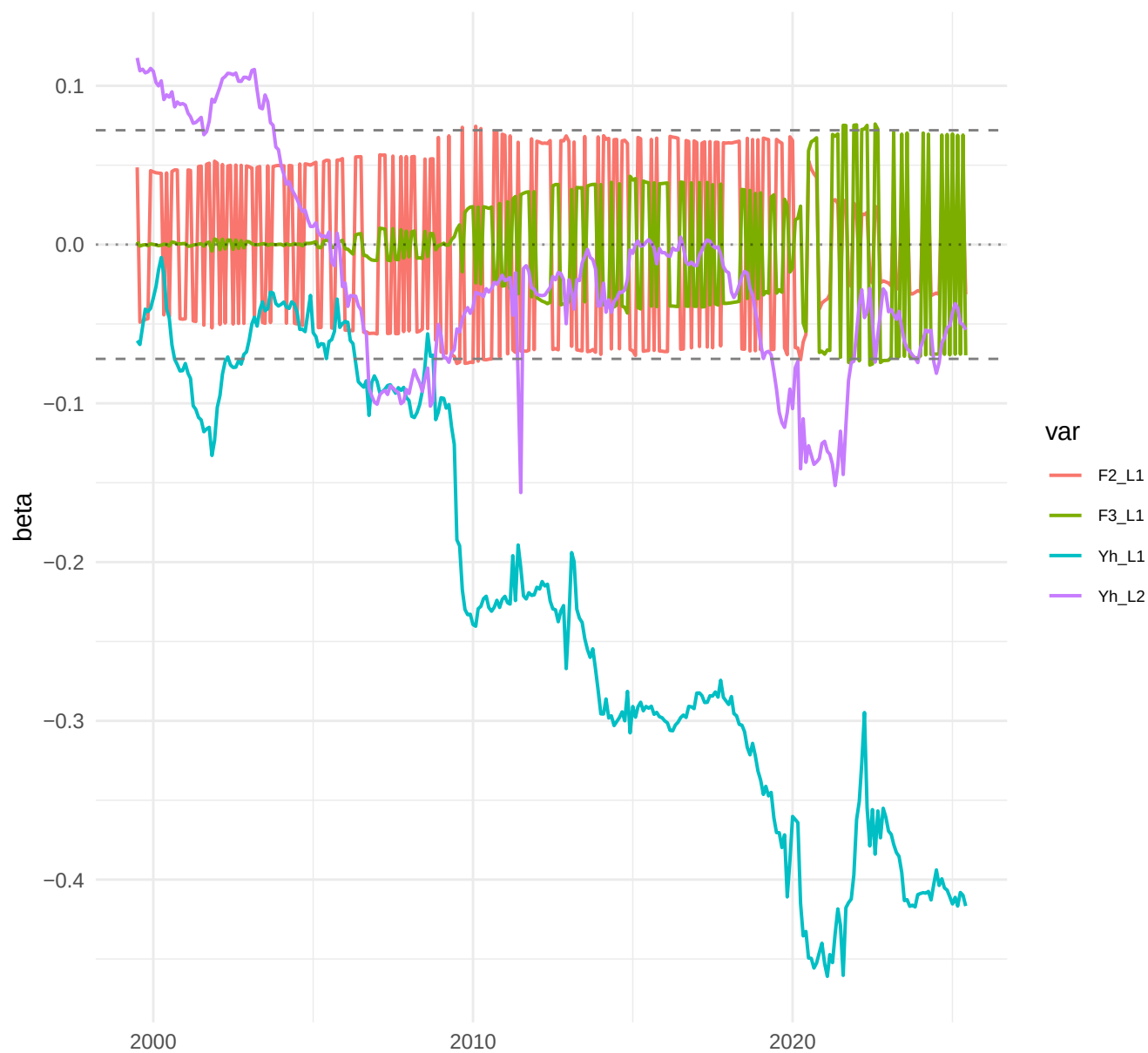
Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

2SRR-ARDI vs classical Ridge (Medeiros), $h=12$



Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)

h=1: top-4 TVP (ARDI) betas vs constant Ridge ($|\text{beta}|=0.072$)



h=3: top-4 TVP (ARDI) betas vs constant Ridge ($|\text{beta}|=0.105$)



Dashed grey lines = mean $|\text{beta}|$ magnitude of Medeiros Ridge (constant reference)

h=6: top-4 TVP (ARDI) betas vs constant Ridge ($|\text{beta}|=0.102$)



Dashed grey lines = mean $|\text{beta}|$ magnitude of Medeiros Ridge (constant reference)

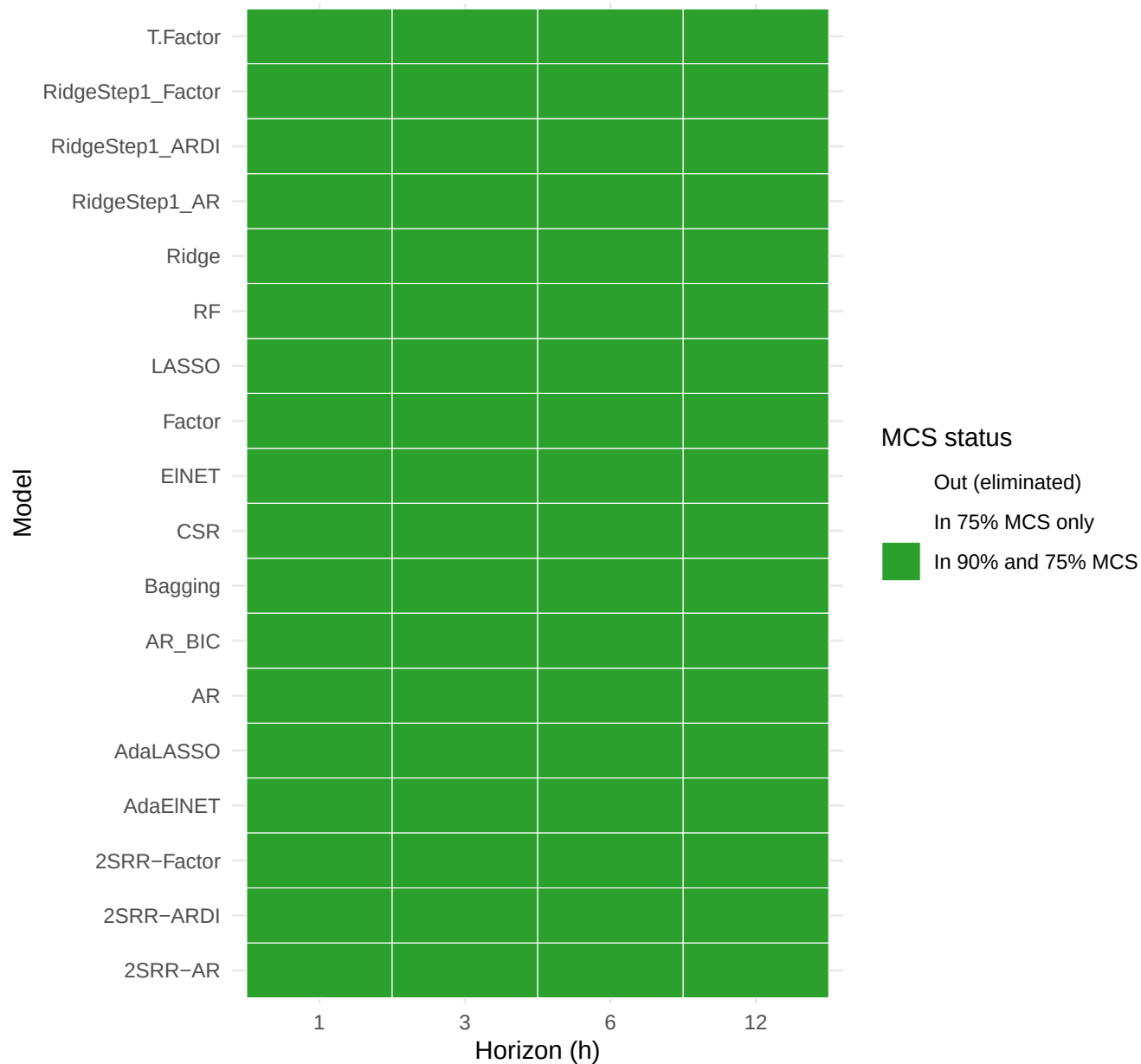
h=12: top-4 TVP (ARDI) betas vs constant Ridge ($|\text{beta}|=0.108$)



Dashed grey lines = mean $|\text{beta}|$ magnitude of Medeiros Ridge (constant reference)

Model Confidence Set per horizon

Green = both MCS sets; orange = only 75% set; grey = eliminated



GW p-value: 2SRR-FAVAR vs each benchmark

Green = 2SRR rejects H0 of conditional equality

Benchmark

